

**NAN YA PRINTED CIRCUIT BOARD
CORPORATION**

Financial Statements

**With Independent Auditors' Report
For the Years Ended December 31, 2025 and 2024**

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The independent auditors' report and the accompanying financial statements are the English translation of the Chinese version prepared and used in the Republic of China. If there is any conflict between, or any difference in the interpretation of the English and Chinese language independent auditors' report and financial statements, the Chinese version shall prevail.

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Independent Auditors' Report

To the Board of Directors of Nan Ya Printed Circuit Board Corporation:

Opinion

We have audited the financial statements of Nan Ya Printed Circuit Board Corporation("the Company"), which comprise the balance sheet as of December 31, 2025 and 2024, the statement of comprehensive income, changes in equity and cash flows for the years then ended, and notes to the financial statements, including a summary of material accounting policies.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2025 and 2024, and its financial performance and cash flows for the years then ended in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers.

Basis for Opinion

We conducted our audits in accordance with the Regulations Governing Financial Statement Audit and Attestation Engagements of Certified Public Accountants and Standards on Auditing of the Republic of China. Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with The Norm of Professional Ethics for Certified Public Accountant of the Republic of China, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis of our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. Key audit matters for the Company's financial statements are stated as follows:

1. Accuracy of the timing of revenue recognition

Please refer to Note 4(n), "Revenue Recognition," and Note 6(m) for the accounting policies relating to revenue recognition and further details on revenue, respectively.

The Company is principally engaged in the manufacturing and sale of printed circuit boards. As the timing of revenue recognition is influenced by the transaction terms agreed upon with customers, there is a risk that revenue pertaining to periods shortly before and after the balance sheet date may not be recognized in the appropriate period. Hence, the accuracy of revenue cut-off is considered as one of our key audit matters.

The primary audit procedures performed to address this key audit matter included: obtaining an understanding of major revenue streams, contractual terms, and transaction conditions, in order to assess the appropriateness of revenue recognition timing; examining key customer sales contracts; testing the Company's internal controls over shipping activities and revenue recognition processes; and selecting shipments occurring shortly before and after the balance sheet date and tracing them to supporting documents and related records to evaluate whether sales revenue was recognized in the appropriate reporting period.

2. Valuation of inventories

The Company estimates the loss on decline of inventory market price on a monthly basis using the aging analysis of inventories and the lower of cost or net realizable value. Since the net realizable value of inventory relies on the impact of international raw material prices, the valuation of inventories is one of the key audit matters while conducting the audit for the financial statements of the Company. For accounting policies, estimation uncertainty, and related disclosures on the valuation of inventories, please refer to notes 4(g), 5(a), and 6(d), respectively, of the financial statements.

The principal audit procedures performed to address the aforementioned key audit matter included understanding the basis adopted by the management in the estimate of net realizable value, and sampling to test the reasonableness of the net realizable value and the aging analysis of inventories.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance (including the Audit committee) are responsible for overseeing the Company's financial reporting process.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with the Standards on Auditing of the Republic of China will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with the Standards on Auditing of the Republic of China, we exercise professional judgment and professional skepticism throughout the audit. We also:

1. Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

2. Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
3. Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
4. Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Company to cease to continue as a going concern.
5. Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
6. Obtain sufficient and appropriate audit evidence regarding the financial information of the investment in other entities accounted for using the equity method to express an opinion on this financial statements. We are responsible for the direction, supervision and performance of the audit. We remain solely responsible for our audit opinion.

We communicated with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identified during our audit.

We also provided those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determined those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We described these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determined that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

The engagement partners on the audit resulting in this independent auditors' report are Kuo, Hsin-Yi and Jhang, Jhao-Wun.

KPMG

Taipei, Taiwan (Republic of China)
February 24, 2026

Notes to Readers

The accompanying financial statements are intended only to present the financial position, financial performance and cash flows in accordance with the accounting principles and practices generally accepted in the Republic of China and not those of any other jurisdictions. The standards, procedures and practices to audit such financial statements are those generally accepted and applied in the Republic of China.

The independent auditors' report and the accompanying financial statements are the English translation of the Chinese version prepared and used in the Republic of China. If there is any conflict between, or any difference in the interpretation of the English and Chinese language independent auditors' report and financial statements, the Chinese version shall prevail.

(English Translation of Financial Statements Originally Issued in Chinese)
NAN YA PRINTED CIRCUIT BOARD CORPORATION

Balance Sheets

December 31, 2025 and 2024

(Expressed in Thousands of New Taiwan Dollars)

		December 31, 2025		December 31, 2024				December 31, 2025		December 31, 2024	
Assets		Amount	%	Amount	%	Liabilities and equity		Amount	%	Amount	%
Current assets:						Current liabilities:					
1100	Cash and cash equivalents (note 6(a))	\$ 4,849,251	8	4,277,099	7	2130	Current contract liabilities (note 6(m))	\$ 2,218,144	4	2,218,144	4
1120	Current financial assets at fair value through other comprehensive income	116,844	-	106,358	-	2170	Accounts payable	731,021	1	563,057	1
1170	Notes and accounts receivable, net (notes 6(b) and (m))	7,080,974	12	4,418,518	7	2180	Accounts payable to related parties (note 7)	548,197	1	512,325	1
1180	Accounts receivable due from related parties (notes 6(b), (m) and 7)	31,040	-	8,801	-	2200	Other payables	1,890,830	3	1,792,002	3
1200	Other receivables (note 6(c))	123,596	-	106,516	-	2220	Other payables to related parties (note 7)	125,498	-	-	-
1210	Other receivables due from related parties (notes 6(c) and 7)	64,399	-	16,085	-	2230	Current tax liabilities	480,107	1	315,597	1
1310	Current inventories (note 6(d))	2,989,034	5	2,334,482	4	2281	Current lease liabilities (notes 6(h) and (s))	-	-	4,693	-
1470	Prepayments and other current assets	71,089	-	150,075	-	2282	Current lease liabilities, related parties (notes 6(h), (s) and 7)	248,048	-	258,467	-
	Total current assets	<u>15,326,227</u>	<u>25</u>	<u>11,417,934</u>	<u>18</u>	2300	Other current liabilities	<u>121,317</u>	<u>-</u>	<u>70,375</u>	<u>-</u>
	Non-current assets:						Total current liabilities	<u>6,363,162</u>	<u>10</u>	<u>5,734,660</u>	<u>10</u>
1550	Investments accounted for using equity method (notes 6(e) and 7)	20,404,446	34	23,264,376	38		Non-current liabilities:				
1600	Property, plant and equipment (notes 6(f) and 7)	22,795,700	38	25,406,610	41	2527	Non-current contract liabilities (note 6(m))	3,297,058	6	5,515,202	9
1755	Right-of-use assets (notes 6(g) and 7)	1,212,291	2	1,459,252	2	2570	Deferred tax liabilities (note 6(j))	2,535,447	4	2,985,727	5
1840	Deferred tax assets (note 6(j))	461,063	1	313,941	1	2582	Non-current lease liabilities, related parties (notes 6(h), (s) and 7)	986,579	2	1,216,311	2
1900	Other non-current assets	9,782	-	9,855	-	2640	Net defined benefit liability, non-current (note 6(i))	871,106	1	926,779	1
	Total non-current assets	<u>44,883,282</u>	<u>75</u>	<u>50,454,034</u>	<u>82</u>	2645	Guarantee deposits received	<u>33,263</u>	<u>-</u>	<u>42,909</u>	<u>-</u>
							Total non-current liabilities	<u>7,723,453</u>	<u>13</u>	<u>10,686,928</u>	<u>17</u>
							Total liabilities	<u>14,086,615</u>	<u>23</u>	<u>16,421,588</u>	<u>27</u>
							Equity (note 6(k)):				
						3100	Ordinary shares	6,461,655	11	6,461,655	10
						3200	Capital surplus	18,125,648	30	18,125,632	29
						3310	Legal reserve	8,504,731	14	8,473,910	14
						3320	Special reserve	324,428	1	1,112,574	2
						3350	Unappropriated retained earnings	13,482,234	22	11,601,037	19
						3400	Other equity interest	(775,802)	(1)	(324,428)	(1)
							Total equity	<u>46,122,894</u>	<u>77</u>	<u>45,450,380</u>	<u>73</u>
	Total assets	<u>\$ 60,209,509</u>	<u>100</u>	<u>61,871,968</u>	<u>100</u>		Total liabilities and equity	<u>\$ 60,209,509</u>	<u>100</u>	<u>61,871,968</u>	<u>100</u>

See accompanying notes to financial statements.

(English Translation of Financial Statements Originally Issued in Chinese)
NAN YA PRINTED CIRCUIT BOARD CORPORATION

Statements of Comprehensive Income

For the years ended December 31, 2025 and 2024

(Expressed in Thousands of New Taiwan Dollars , Except for Earnings Per Share)

		2025		2024	
		Amount	%	Amount	%
4000	Operating revenue (notes 6(m) and 7)	\$ 29,538,695	100	21,858,913	100
5000	Operating costs (notes 6(d), (f), (g), (h), (i), (n) and 7)	<u>25,887,630</u>	<u>88</u>	<u>20,956,510</u>	<u>96</u>
	Gross profit from operations	3,651,065	12	902,403	4
5910	Less: Unrealized profit on from sales (note 7)	92	-	174	-
5920	Add: Realized profit on from sales (note 7)	<u>174</u>	<u>-</u>	<u>745</u>	<u>-</u>
	Gross profit from operations	<u>3,651,147</u>	<u>12</u>	<u>902,974</u>	<u>4</u>
	Operating expenses (notes 6(f), (g), (h), (i), (n) and 7):				
6100	Selling expenses	290,141	1	237,445	1
6200	Administrative expenses	<u>1,032,737</u>	<u>3</u>	<u>1,024,835</u>	<u>5</u>
6000	Total operating expenses	<u>1,322,878</u>	<u>4</u>	<u>1,262,280</u>	<u>6</u>
6900	Net operating income (loss)	<u>2,328,269</u>	<u>8</u>	<u>(359,306)</u>	<u>(2)</u>
	Non-operating income and expenses (notes 6(e), (f), (h), (o) and 7):				
7100	Interest income	82,435	-	150,027	1
7010	Other income	233,510	1	206,841	1
7020	Other gains and losses	(170,391)	(1)	447,572	2
7050	Finance costs	(13,810)	-	(17,535)	-
7070	Share of profit (loss) of subsidiaries and associates accounted for using equity method, net	<u>(115,502)</u>	<u>-</u>	<u>(266,397)</u>	<u>(1)</u>
	Total non-operating income and expenses	<u>16,242</u>	<u>-</u>	<u>520,508</u>	<u>3</u>
7900	Profit before tax	2,344,511	8	161,202	1
7950	Less: Tax expense (benefit) (note 6(j))	<u>397,736</u>	<u>1</u>	<u>(42,525)</u>	<u>-</u>
	Profit	<u>1,946,775</u>	<u>7</u>	<u>203,727</u>	<u>1</u>
8300	Other comprehensive income (notes 6(e), (i), (j) and (k)):				
8310	Components of other comprehensive income that will not be reclassified to profit or loss				
8311	Gains on remeasurements of defined benefit plans	(220,631)	(1)	130,345	1
8316	Unrealized gains (losses) from investments in equity instruments measured at fair value through other comprehensive income	10,486	-	(130,925)	(1)
8330	Share of other comprehensive income of associates accounted for using equity method	41,362	-	(42,082)	-
8349	Less: income tax related to components of other comprehensive income that will not be reclassified to profit or loss	<u>(44,126)</u>	<u>-</u>	<u>26,069</u>	<u>-</u>
	Components of other comprehensive income that will not be reclassified to profit or loss	<u>(124,657)</u>	<u>(1)</u>	<u>(68,731)</u>	<u>-</u>
8360	Components of other comprehensive income that will be reclassified to profit or loss				
8361	Exchange differences on translation	(629,317)	(3)	1,201,702	5
8399	Less: income tax related to components of other comprehensive income that will be reclassified to profit or loss	<u>(125,863)</u>	<u>(1)</u>	<u>240,341</u>	<u>1</u>
	Components of other comprehensive income that will be reclassified to profit or loss	<u>(503,454)</u>	<u>(2)</u>	<u>961,361</u>	<u>4</u>
8300	Other comprehensive income, net	<u>(628,111)</u>	<u>(3)</u>	<u>892,630</u>	<u>4</u>
8500	Total comprehensive income	<u>\$ 1,318,664</u>	<u>4</u>	<u>1,096,357</u>	<u>5</u>
	Earnings per share (note 6(l))				
9750	Basic earnings per share	<u>\$ 3.01</u>		<u>0.32</u>	
9850	Diluted earnings per share	<u>\$ 3.01</u>		<u>0.32</u>	

See accompanying notes to financial statements.

(English Translation of Financial Statements Originally Issued in Chinese)
NAN YA PRINTED CIRCUIT BOARD CORPORATION

Statements of Changes in Equity

For the years ended December 31, 2025 and 2024

(Expressed in Thousands of New Taiwan Dollars)

						Other equity interest			
							Unrealized gains (losses) on financial assets measured at fair value through other comprehensive income		
	Ordinary share	Capital surplus	Legal reserve	Special reserve	Unappropriated retained earnings	Exchange differences on translation of foreign financial statements		Total	Total equity
Balance at January 1, 2024	\$ 6,461,655	18,125,615	7,857,185	761,647	15,814,388	(1,056,659)	(55,915)	(1,112,574)	47,907,916
Profit for the year ended December 31, 2024	-	-	-	-	203,727	-	-	-	203,727
Other comprehensive income for the year ended December 31, 2024	-	-	-	-	104,484	961,361	(173,215)	788,146	892,630
Total comprehensive income for the year ended December 31, 2024	-	-	-	-	308,211	961,361	(173,215)	788,146	1,096,357
Appropriation and allocation of earnings:									
Legal reserve appropriated	-	-	616,725	-	(616,725)	-	-	-	-
Special reserve appropriated	-	-	-	350,927	(350,927)	-	-	-	-
Cash dividends of ordinary share	-	-	-	-	(3,553,910)	-	-	-	(3,553,910)
Other changes in capital surplus:									
Other changes in capital surplus	-	17	-	-	-	-	-	-	17
Balance at December 31, 2024	6,461,655	18,125,632	8,473,910	1,112,574	11,601,037	(95,298)	(229,130)	(324,428)	45,450,380
Profit for the year ended December 31, 2025	-	-	-	-	1,946,775	-	-	-	1,946,775
Other comprehensive income for the year ended December 31, 2025	-	-	-	-	(176,737)	(503,454)	52,080	(451,374)	(628,111)
Total comprehensive income for the year ended December 31, 2025	-	-	-	-	1,770,038	(503,454)	52,080	(451,374)	1,318,664
Appropriation and allocation of earnings:									
Legal reserve appropriated	-	-	30,821	-	(30,821)	-	-	-	-
Reversal of special reserve	-	-	-	(788,146)	788,146	-	-	-	-
Cash dividends of ordinary share	-	-	-	-	(646,166)	-	-	-	(646,166)
Other changes in capital surplus:									
Other changes in capital surplus	-	16	-	-	-	-	-	-	16
Balance at December 31, 2025	\$ 6,461,655	18,125,648	8,504,731	324,428	13,482,234	(598,752)	(177,050)	(775,802)	46,122,894

See accompanying notes to financial statements.

(English Translation of Financial Statements Originally Issued in Chinese)
NAN YA PRINTED CIRCUIT BOARD CORPORATION

Statements of Cash Flows

For the years ended December 31, 2025 and 2024

(Expressed in Thousands of New Taiwan Dollars)

	<u>2025</u>	<u>2024</u>
Cash flows from operating activities:		
Profit Before tax	\$ 2,344,511	161,202
Adjustments:		
Adjustments to reconcile profit :		
Depreciation expense	4,731,845	4,090,965
Interest expense	13,810	17,535
Interest income	(82,435)	(150,027)
Dividend income	(1,498)	(2,996)
Share of loss of subsidiaries and associates accounted for using equity method	115,502	266,397
Gain on disposal of property, plant and equipment	(12,244)	(6,886)
Reversal of impairment loss on non-financial assets	-	(75)
Unrealized profit on from sales	92	174
Realized profit on from sales	(174)	(745)
Unrealized foreign exchange gain	(109,236)	(99,473)
Total adjustments to reconcile profit	<u>4,655,662</u>	<u>4,114,869</u>
Changes in operating assets and liabilities:		
Changes in operating assets:		
(Increase) decrease in notes and accounts receivable (including related parties)	(2,576,614)	451,735
(Increase) decrease in other receivables (including related parties)	(67,645)	60,071
Increase in inventories	(654,552)	(310,963)
Decrease in prepayments	78,791	5,594
Total changes in operating assets	<u>(3,220,020)</u>	<u>206,437</u>
Changes in operating liabilities:		
Decrease in contract liabilities	(2,218,144)	(1,492,079)
Increase (decrease) in accounts payable (including related parties)	206,038	(1,107,112)
Increase (decrease) in other payables	224,340	(530,352)
Increase (decrease) in other current liabilities	50,942	(27,649)
Decrease in net defined benefit liability	(276,304)	(55,520)
Total changes in operating liabilities	<u>(2,013,128)</u>	<u>(3,212,712)</u>
Total changes in operating assets and liabilities	<u>(5,233,148)</u>	<u>(3,006,275)</u>
Total adjustments	<u>(577,486)</u>	<u>1,108,594</u>
Cash inflow generated from operations	1,767,025	1,269,796
Interest received	84,686	150,330
Interest paid	(13,810)	(17,535)
Income taxes paid	(660,444)	(880,433)
Net cash flows from operating activities	<u>1,177,457</u>	<u>522,158</u>
Cash flows from investing activities		
Acquisition of property, plant and equipment	(1,872,925)	(1,889,589)
Proceeds from disposal of property, plant and equipment	54,423	47,596
Decrease in other financial assets	-	100,000
Decrease in other non-current assets	73	5,347
Dividends received	2,135,997	1,963,496
Net cash flows from investing activities	<u>317,568</u>	<u>226,850</u>
Cash flows used in financing activities:		
Decrease in guarantee deposits received	(10,039)	(7,692)
Payment of lease liabilities	(266,014)	(265,146)
Cash dividends paid	(646,166)	(3,553,910)
Net cash flows used in financing activities	<u>(922,219)</u>	<u>(3,826,748)</u>
Effect of exchange rate changes on cash and cash equivalents	<u>(654)</u>	<u>27,619</u>
Net increase (decrease) in cash and cash equivalents	572,152	(3,050,121)
Cash and cash equivalents at beginning of period	4,277,099	7,327,220
Cash and cash equivalents at end of period	<u>\$ 4,849,251</u>	<u>4,277,099</u>

See accompanying notes to financial statements.

(English Translation of Financial Statements Originally Issued in Chinese)

NAN YA PRINTED CIRCUIT BOARD CORPORATION

Notes to the Financial Statements

For the years ended December 31, 2025 and 2024

(Expressed in Thousands of New Taiwan Dollars, Unless Otherwise Specified)

(1) Company history

Nan Ya Printed Circuit Board Corporation “the Company” was legally established with the approval by the Ministry of Economic Affairs on October 28, 1997, with registered address at 7F., No. 390, Sec. 6, Nanjing E. Rd., Neihu Dist., Taipei City, Taiwan. The Company’s main operating activities are primarily in the manufacturing and selling of printed circuit boards.

(2) Approval date and procedures of the financial statements

The accompanying financial statements were approved and authorized for issue by the Board of Directors on February 24, 2026.

(3) New standards, amendments and interpretations adopted:

- (a) The impact of the IFRS Accounting Standards endorsed by the Financial Supervisory Commission, R.O.C. which have already been adopted.

The Company has initially adopted the following new amendments, which do not have a significant impact on its financial statements, from January 1, 2025:

- Amendments to IAS21 “Lack of Exchangeability”
- Amendments to IFRS 9 and IFRS 7 “Amendments to the Classification and Measurement of Financial Instruments” regarding the application guidance requirements for Section 4.1 of IFRS 9 and the related disclosure requirements of IFRS 7

- (b) The impact of IFRS Accounting Standards endorsed by the FSC but not yet effective

The Company assesses that the adoption of the following new amendments, effective for annual period beginning on January 1, 2026, would not have a significant impact on its financial statements:

- IFRS 17 “Insurance Contracts” and amendments to IFRS 17 “Insurance Contracts”
- Amendments to IFRS 9 and IFRS 7 “Amendments to the Classification and Measurement of Financial Instruments” regarding the application guidance requirements for Sections 3.1 and 3.3 of IFRS 9 and the related disclosure requirements of IFRS 7
- Annual Improvements to IFRS Accounting Standards—Volume 11
- Amendments to IFRS 9 and IFRS 7 “Contracts Referencing Nature-dependent Electricity”

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

- (c) The impact of IFRS Accounting Standards issued by IASB but not yet endorsed by the FSC

The following new and amended standards, which may be relevant to the Company, have been issued by the International Accounting Standards Board (IASB), but have yet to be endorsed by the FSC:

Standards or Interpretations	Content of amendment	Effective date per IASB
IFRS 18 “Presentation and Disclosure in Financial Statements”	The new standard introduces three categories of income and expenses, two income statement subtotals and one single note on management performance measures. The three amendments, combined with enhanced guidance on how to disaggregate information, set the stage for better and more consistent information for users, and will affect all the entities. • A more structured income statement: under current standards, companies use different formats to present their results, making it difficult for investors to compare financial performance across companies. The new standard promotes a more structured income statement, introducing a newly defined ‘operating profit’ subtotal and a requirement for all income and expenses to be allocated between three new distinct categories based on a company’s main business activities. • Management performance measures (MPMs): the new standard introduces a definition for management performance measures, and requires companies to explain in a single note to the financial statements why the measure provides useful information, how it is calculated and reconcile it to an amount determined under IFRS Accounting Standards.	January 1, 2027 note: On September 25, 2025, the FSC issued a press release announcing that Taiwan will adopt IFRS 18 beginning in 2028. Entities that need to adopt the new standard earlier may do with the endorsement of the FSC.

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

Standards or Interpretations	Content of amendment	Effective date per IASB
IFRS 18 “Presentation and Disclosure in Financial Statements”	• Greater disaggregation of information: the new standard includes enhanced guidance on how companies group information in the financial statements. This includes guidance on whether information is included in the primary financial statements or is further disaggregated in the notes.	

The Company is evaluating the impact on its financial position and financial performance upon the initial adoption of the abovementioned standards or interpretations. The results thereof will be disclosed when the Company completes its evaluation.

The Company does not expect the following other new and amended standards, which have yet to be endorsed by the FSC, to have a significant impact on its financial statements:

- Amendments to IFRS 10 and IAS 28 “Sale or Contribution of Assets Between an Investor and Its Associate or Joint Venture”
- IFRS 19 “Subsidiaries without Public Accountability: Disclosures” and amendments to IFRS 19 “Subsidiaries without Public Accountability: Disclosures”
- Amendments to IAS 21 “Translation to a Hyperinflationary Presentation Currency”

(4) Summary of material accounting policies

The material accounting policies presented in the financial statements are summarized below. The following accounting policies were applied consistently throughout the periods presented in the financial statements.

(a) Statement of compliance

The accompanying financial statements have been prepared in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers (hereinafter referred to as The Regulations).

(b) Basis of preparation

(i) Basis of measurement

Except for the following significant accounts, the financial statements have been prepared on a historical cost basis:

The defined benefit liabilities are measured at fair value of the plan assets less the present value of the defined benefit obligation.

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION

Notes to Financial Statements

(ii) Functional and presentation currency

The functional currency of the Company is determined based on the primary economic environment in which the entity operates. The financial statements are presented in New Taiwan Dollar, which is the Company's functional currency. All financial information presented in New Taiwan Dollar has been rounded to the nearest thousand.

(c) Foreign currency

(i) Foreign currency transactions

Transactions in foreign currencies are translated into the respective functional currencies of Company entities at the exchange rates at the dates of the transactions. At the end of each subsequent reporting period, monetary items denominated in foreign currencies are translated into the functional currencies using the exchange rate at that date.

Exchange differences are generally recognized in profit or loss.

(ii) Foreign operations

The assets and liabilities of foreign operations are translated into the presentation currency at the exchange rates at the reporting date. The income and expenses of foreign operations are translated into the presentation currency at the average exchange rate. Exchange differences are recognized in other comprehensive income.

When a foreign operation is disposed of such that control or significant influence, the cumulative amount in the translation reserve related to that foreign operation is reclassified to profit or loss as part of the gain or loss on disposal. When the Company disposes of only part of its interest in a subsidiary that includes a foreign operation while retaining control, the relevant proportion of the cumulative amount is reattributed to noncontrolling interests.

When the settlement of a monetary receivable from or payable to a foreign operation is neither planned nor likely to occur in the foreseeable future, exchange differences arising from such a monetary item that are considered to form part of the net investment in the foreign operation are recognized in other comprehensive income.

(d) Classification of current and non-current assets and liabilities

The Company classifies the asset as current under one of the following criteria, and all other assets are classified as non-current.

- (i) It is expected to be realized, or intended to be sold or consumed, in the normal operating cycle;
- (ii) It is held primarily for the purpose of trading;
- (iii) It is expected to be realized within twelve months after the reporting period; or

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

- (iv) The asset is cash or a cash equivalent (as defined in IAS 7) unless the asset is restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

The Company classifies the liability as current under one of the following criteria, and all other liabilities are classified as non-current.

- (i) It is expected to be settled in the normal operating cycle;
- (ii) It is held primarily for the purpose of trading;
- (iii) It is due to be settled within twelve months after the reporting period; or
- (iv) The Company does not have the right at the end of the reporting period to defer settlement of the liability for at least twelve months after the reporting period.

(e) Cash and cash equivalents

Cash comprises cash on hand and demand deposits. Cash equivalents are short-term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value. Time deposits which meet the above definition and are held for the purpose of meeting short-term cash commitments rather than for investment or other purposes should be recognized as cash equivalents.

(f) Financial instruments

Accounts receivable are initially recognized when they are originated. All other financial assets and financial liabilities are initially recognized when the Company becomes a party to the contractual provisions of the instrument. A financial asset (unless it is a accounts receivable without a significant financing component) or financial liability for an item not at fair value through profit or loss (FVTPL) is initially measured at fair value plus transaction costs that are directly attributable to its acquisition or issue. A accounts receivable without a significant financing component is initially measured at the transaction price.

(i) Financial assets

All regular way purchases or sales of financial assets are recognized and derecognized on a trade date basis.

On initial recognition, a financial asset is classified as measured at: Amortized cost.

Financial assets are not reclassified subsequent to their initial recognition unless the Company changes its business model for managing financial assets, in which case all affected financial assets are reclassified on the first day of the first reporting period following the change in the business model.

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

1) Financial assets measured at amortized cost

A financial asset is measured at amortized cost if it meets both of the following conditions and is not designated as at FVTPL:

- it is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

These assets are subsequently measured at amortized cost, which is the amount at which the financial asset is measured at initial recognition, plus/minus, the cumulative amortization using the effective interest method, adjusted for any loss allowance. Interest income, foreign exchange gains and losses, as well as impairment, are recognized in profit or loss. Any gain or loss on derecognition is recognized in profit or loss.

2) Impairment of financial assets

The Company recognizes loss allowances for expected credit losses (ECL) on financial assets measured at amortized cost (including cash and cash equivalents, accounts receivable, other receivables and guarantee deposit paid).

The Company measures loss allowances at an amount equal to lifetime expected credit loss (ECL), except for the following which are measured as 12-month ECL:

- bank balances for which credit risk (i.e. the risk of default occurring over the expected life of the financial instrument) has not increased significantly since initial recognition.

Loss allowance for accounts receivable are always measured at an amount equal to lifetime ECL.

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating ECL, the Company considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis based on the Company's historical experience and informed credit assessment as well as forward-looking information.

The Company assumes a significantly increased credit risk of a financial asset if there are indications of potential breaches of contract over the expected life of the contract period.

Lifetime ECLs are the ECLs that result from all possible default events over the expected life of a financial instrument.

12-month ECLs are the portion of ECLs that result from default events that are possible within the 12 months after the reporting date (or a shorter period if the expected life of the instrument is less than 12 months).

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION

Notes to Financial Statements

The maximum period considered when estimating ECLs is the maximum contractual period over which the Company is exposed to credit risk.

ECLs are a probability-weighted estimate of credit losses. Credit losses are measured as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the Company in accordance with the contract and the cash flows that the Company expects to receive). ECLs are discounted at the effective interest rate of the financial asset.

At each reporting date, the Company assesses whether financial assets carried at amortized cost is credit-impaired. A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred. Evidence that a financial assets is credit-impaired includes the following observable data:

- significant financial difficulty of the borrower or issuer;
- a breach of contract such as a default or being more than 1 year past due;
- the lender of the borrower, for economic or contractual reasons relating to the borrower's financial difficulty, having granted to the borrower a concession that the lender would not otherwise consider;
- it is probable that the borrower will enter bankruptcy or other financial reorganization; or
- the disappearance of an active market for a security because of financial difficulties.

Loss allowances for financial assets measured at amortized cost are deducted from the gross carrying amount of the assets.

The gross carrying amount of a financial asset is written off when the Company has no reasonable expectations of recovering a financial asset in its entirety or a portion thereof. For corporate customers, the Company individually makes an assessment with respect to the timing and amount of write-off based on whether there is a reasonable expectation of recovery. The Company expects no significant recovery from the amount written off. However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Company's procedures for recovery of amounts due.

3) Derecognition of financial assets

The Company derecognizes a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Company neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset.

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

(ii) Financial liabilities

1) Classification of liabilities

Debt instruments issued by the Company are classified as financial liabilities in accordance with the substance of the contractual arrangements and the definitions of a financial liability.

2) Financial liabilities

Financial liabilities are classified as measured at amortized cost. Financial liabilities are subsequently measured at amortized cost using the effective interest method. Interest expense and foreign exchange gains and losses are recognized in profit or loss. Any gain or loss on derecognition is also recognized in profit or loss.

3) Derecognition of financial liabilities

The Company derecognizes a financial liability when its contractual obligations have been met cancelled, or expired. The Company also derecognizes a financial liability when its terms are modified and the cash flows of the modified liability are substantially different from the original liability. A new financial liability is then recognized, at fair value, based on the modified terms.

On derecognition of a financial liability, the difference between the carrying amount of a financial liability extinguished and the consideration paid (including any non-cash assets transferred or liabilities assumed) is recognized in profit or loss.

(g) Inventories

Inventories are measured at the lower of cost and net realizable value. The cost of inventories is calculated using the weighted average method, and includes expenditure incurred in acquiring the inventories, production or conversion costs, and other costs incurred in bringing them to their present location and condition. In the case of manufactured inventories and work in process, cost includes an appropriate share of production overheads based on normal operating capacity.

Net realizable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses.

(h) Investment in associates

Associates are those entities in which the Company has significant influence, but not control or joint control, over their financial and operating policies.

Investments in associates are accounted for using equity method and are recognized initially at cost. The carrying amount of the investment in associates includes goodwill arising from the acquisition.

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NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

The financial statements include the Company's share of the profit or loss and other comprehensive income of those associates, after adjustments to align their accounting policies with those of the Company, from the date on which significant influence commences until the date on which significant influence ceases. The Company recognizes any changes of its proportionate share in the investee within capital surplus, when an associate's equity changes due to reasons other than profit or loss or comprehensive income, which did not result in changes in actual significant influence.

Gains and losses resulting from transactions between the Company and an associate are recognized only to the extent of unrelated Company's interests in the associate.

When the Company's share of losses of an associate equals or exceeds its interests in an associate, it discontinues recognizing its share of further losses. After the recognized interest is reduced to zero, additional losses are provided for, and a liability is recognized, only to the extent that the Company has incurred legal or constructive obligations or made payments on behalf of the associate.

(i) Investment in subsidiaries

On preparing financial statements, the Company values the investees over which it holds control using the equity method. Under the equity method, net income and other comprehensive income on the separate financial statement is the same as the net income and other comprehensive income attributable to parent on the consolidated financial statements. The stockholders' equity on the separate financial statement is the same as the stockholders' equity attributable to the parent on the consolidated financial statement.

The Company accounts the changes in equity, under the condition that control is still present, as equity transactions between the proprietors.

(j) Property, plant and equipment

(i) Recognition and measurement

Items of property, plant and equipment are measured at cost, less accumulated depreciation.

Any gain or loss on disposal of an item of property, plant and equipment is recognized in profit or loss.

(ii) Subsequent expenditure

Subsequent expenditure is capitalized only if it is probable that the future economic benefits associated with the expenditure will flow to the Company.

(iii) Depreciation

Depreciation is calculated on the cost of an asset less its residual value and is recognized in profit or loss on a straight-line basis over the estimated useful lives of each component of an item of property, plant and equipment.

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NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

The estimated useful lives of property, plant and equipment for current and comparative periods are as follows:

1) Buildings:	25 to 35 years
2) Machinery equipment:	3 to 15 years
3) Vehicles:	6 to 15 years
4) Miscellaneous equipment:	5 to 15 years

Depreciation methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate.

(k) Leases

At the inception of a contract, the Company assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

(i) As a lessee

The Company recognizes a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be reliably determined, the Company's incremental borrowing rate. Generally, the Company uses its incremental borrowing rate as the discount rate.

Lease payments included in the measurement of the lease liability comprise the following:

- fixed payments, including in-substance fixed payments;
- variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date;
- amounts expected to be payable under a residual value guarantee; and
- payments for purchase or termination options that are reasonably certain to be exercised.

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

The lease liability is measured at amortized cost using the effective interest method. It is remeasured when:

- there is a change in future lease payments arising from the change in an index or rate; or
- there is a change in the Company's estimate of the amount expected to be payable under a residual value guarantee; or
- there is a change of its assessment on whether it will exercise a purchase, extension or termination option; or
- there are any lease modifications

When the lease liability is remeasured, other than lease modifications, a corresponding adjustment is made to the carrying amount of the right-of-use asset, or in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

When the lease liability is remeasured to reflect the partial or full termination of the lease for lease modifications that decrease the scope of the lease, the Company accounts for the remeasurement of the lease liability by decreasing the carrying amount of the right-of-use asset to reflect the partial or full termination of the lease, and recognize in profit or loss any gain or loss relating to the partial or full termination of the lease.

The Company presents right-of-use assets that do not meet the definition of investment and lease liabilities as a separate line item respectively in the statement of financial position.

The Company has elected not to recognize right-of-use assets and lease liabilities for short-term leases of machinery and office equipment that have a lease term of 12 months or less and leases of low-value assets. The Company recognizes the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

(ii) As a lessor

When the Company acts as a lessor, it determines at lease commencement whether each lease is a finance lease or an operating lease. To classify each lease, the Company makes an overall assessment of whether the lease transfers to the lessee substantially all of the risks and rewards of ownership incidental to ownership of the underlying asset. If this is the case, then the lease is a finance lease; if not, then the lease is an operating lease. As part of this assessment, the Company considers certain indicators such as whether the lease is for the major part of the economic life of the asset.

When the Company is an intermediate lessor, it accounts for its interests in the head lease and the sub-lease separately. It assesses the lease classification of a sub-lease with reference to the right-of-use asset arising from the head lease. If a head lease is a short-term lease to which the Company applies the exemption described above, then it classifies the sub-lease as an operating lease.

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

For operating leases, the Company recognizes lease payments received under the straight-line basis as lease income over the lease term.

(l) Impairment of non-financial assets

At each reporting date, the Company reviews the carrying amounts of its non-financial assets (other than inventories and deferred tax assets) to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated.

For impairment testing, assets are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or cash-generating units(CGUs).

The recoverable amount of an asset or CGU is the greater of its value in use and its fair value less costs to sell. Value in use is based on the estimated future cash flows, discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset or CGU.

An impairment loss is recognized if the carrying amount of an asset or CGU exceeds its recoverable amount. Impairment losses are recognized in profit or loss.

For other assets, an impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortization, if no impairment loss had been recognized.

(m) Provision

A provision is recognized if, as a result of a past event, the Company has a present obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation in the future.

Carbon fees levied in accordance with Taiwan's Climate Change Response Act and Regulations Governing the Collection of Carbon Fees are recognized when the annual greenhouse gas emissions are probably to exceed the threshold, and the amount is estimated based on the proportion of greenhouse gas emissions that have occurred as of the reporting date divided by the total annual greenhouse gas emissions.

(n) Revenue recognition

Revenue is measured based on the consideration to which the Company expects to be entitled in exchange for transferring goods or services to a customer. The Company recognizes revenue when it satisfies a performance obligation by transferring control of a good or a service to a customer. The accounting policies for the Company's main types of revenue are explained below.

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NAN YA PRINTED CIRCUIT BOARD CORPORATION

Notes to Financial Statements

(i) Sale of goods

The Company recognizes revenue when control of the products has transferred, and when the products are delivered to the customer, wherein the customer has full discretion over the channel and price to sell the products, and there is no unfulfilled obligation that could affect the customer's acceptance of the products. Delivery occurs when the products have been shipped to the specific location, the risks of obsolescence and loss have been transferred to the customer, and either the customer has accepted the products in accordance with the sales contract, the acceptance provisions have lapsed, or the Company has objective evidence that all criteria for acceptance have been satisfied.

(ii) Financing components

The Company does not expect to have any contracts where the period between the transfer of the promised goods or services to the customer and payment by the customer exceeds one year. As a consequence, the Company does not adjust any of the transaction prices for the time value of money.

(o) Employee benefits

(i) Defined contribution plans

Obligations for contributions to defined contribution plans are expensed as the related service is provided.

(ii) Defined benefit plans

The Company's net obligation in respect of defined benefit plans is calculated separately for each the plan by estimating the amount of future benefit that employees have earned in the current and prior periods, discounting that amount and deducting the fair value of any plan assets.

The calculation of defined benefit obligations is performed annually by a qualified actuary using the projected unit credit method. When the calculation results in a potential asset for the Company, the recognized asset is limited to the present value of economic benefits available in the form of any future refunds from the plan or reductions in future contributions to the plan. To calculate the present value of economic benefits, consideration is given to any applicable minimum funding requirements.

Remeasurements of the net defined benefit liability, which comprise actuarial gains and losses, the return on plan assets (excluding interest) and the effect of the asset ceiling (if any, excluding interest), are recognized immediately in other comprehensive income, and accumulated in retained earnings within equity. The Company determines the net interest expense (income) on the net defined benefit liability (asset) for the period by applying the discount rate used to measure the defined benefit obligation at the beginning of the annual period to the then-net defined benefit liability (asset). Net interest expense and other expenses related to defined benefit plans are recognized in profit or loss.

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION

Notes to Financial Statements

When the benefits of a plan are changed or when a plan is curtailed, the resulting change in benefit that relates to past service or the gain or loss on curtailment is recognized immediately in profit or loss. The Company recognizes gains and losses on the settlement of a defined benefit plan when the settlement occurs.

(iii) Short-term employee benefits

Short-term employee benefits are expensed as the related service is provided. A liability is recognized for the amount expected to be paid if the Company has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

(p) Income taxes

Income taxes comprise current taxes and deferred taxes. Except for expenses related to business combinations or recognized directly in equity or other comprehensive income, all current and deferred taxes are recognized in profit or loss.

Current taxes comprise the expected tax payables or receivables on the taxable profits (losses) for the year and any adjustment to the tax payable or receivable in respect of previous years. The amount of current tax payables or receivables are the best estimate of the tax amount expected to be paid or received. It is measured using tax rates enacted or substantively enacted at the reporting date.

Deferred taxes arise due to temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and their respective tax bases. Deferred taxes are recognized except for the following:

- (i) temporary differences on the initial recognition of assets and liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profits (losses) at the time of the transaction;
- (ii) temporary differences related to investments in subsidiaries, associates and joint arrangements to the extent that the Company is able to control the timing of the reversal of the temporary differences and it is probable that they will not reverse in the foreseeable future.

Deferred tax assets are recognized for the carry forward of unused tax losses, unused tax credits, and deductible temporary differences to the extent that it is probable that future taxable profits will be available against which they can be utilized. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefits will be realized.

Deferred taxes are measured at tax rates that are expected to be applied to temporary differences when they reverse, using tax rates enacted or substantively enacted at the reporting date.

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

Deferred tax assets and liabilities are offset if the following criteria are met:

- (i) the Company has a legally enforceable right to set off current tax assets against current tax liabilities; and
- (ii) the deferred tax assets and the deferred tax liabilities relate to income taxes levied by the same taxation authority on either:
 - 1) the same taxable entity; or
 - 2) different taxable entities which intend to settle current tax assets and liabilities on a net basis, or to realize the assets and liabilities simultaneously, in each future period in which significant amounts of deferred tax liabilities or assets are expected to be settled or recovered.

(q) Earnings per share

The Company reports the basic earnings per share and the diluted earnings per share. The basic earnings per share are calculated based on the profit attributable to the ordinary shareholder of the Company divided by the weighted average number of ordinary shares outstanding. The diluted earnings per share is calculated based on the profit attributable to ordinary shareholders of the Company, divided by the weighted average number of ordinary shares outstanding after adjustment for the effects of all dilutive potential ordinary shares, such as employee compensation.

(r) Operating segments

The Company disclosed information on its operating segments in its consolidated financial statements. Therefore, no information on operating segments is disclosed in the separate financial statements.

(5) Significant accounting assumptions and judgments, and major sources of estimation uncertainty

The preparation of the financial statements in conformity with the Regulations and IAS 34 “Interim Financial Reporting” endorsed by the FSC requires management to make judgments, and estimates about the future, including climate-related risks and opportunities, that affect the application of the accounting policies and the reported amount of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis and are consistent with the Company’s risk management and climate-related commitments where appropriate. Revisions to estimates are recognised prospectively in the period of the change and future periods.

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NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

Information about assumptions and estimation uncertainties that have a significant risk of resulting in a material adjustment to the carrying amounts of assets and liabilities within the next financial year is as follows:

(a) Valuation of inventories

As inventories are stated at the lower of cost or net realizable value, the Company estimates the net realizable value of inventories for obsolescence and unmarketable items at the end of the reporting period and then writes down the cost of inventories to net realizable value. The net realizable value of the inventory is mainly determined based on assumptions as to future demand within a specific time horizon. Due to the rapid industrial transformation, there may be significant changes in the net realizable value of inventories.

(6) Explanation of significant accounts

(a) Cash and cash equivalents

	December 31, 2025	December 31, 2024
Cash on hand	\$ 2,212	-
Cash in banks	358,013	630,728
Time deposits	972,190	2,723,171
Cash equivalents	<u>3,516,836</u>	<u>923,200</u>
	<u>\$ 4,849,251</u>	<u>4,277,099</u>

Please refer to note 6(p) for the interest rate risk and sensitivity analysis of the financial assets and liabilities of the Company.

(b) Notes and accounts receivable

	December 31, 2025	December 31, 2024
Accounts receivable—non-related parties	\$ 7,103,978	4,441,522
Accounts receivable—related parties	31,040	8,801
Less: Loss allowance	<u>(23,004)</u>	<u>(23,004)</u>
	<u>\$ 7,112,014</u>	<u>4,427,319</u>

As of December 31, 2025 and 2024, the Company applies the simplified approach to provide for its expected credit losses, i.e. the use of lifetime expected loss provision for all receivables. To measure the expected credit losses, notes receivable and accounts receivable have been grouped based on shared credit risk characteristics and the days past due, as well as incorporated forward looking information.

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

The aging analysis of notes and accounts receivable with expected credit losses was determined as follows:

	December 31, 2025		
	Notes and accounts receivables gross carrying amount	Weighted average loss rate	Loss allowance provision
Current	\$ 7,105,900	0.316%	22,464
Past due within 3 months	28,557	1.850%	528
Past due 3 to 6 months	561	2.076%	12
	\$ 7,135,018		23,004

	December 31, 2024		
	Notes and accounts receivables gross carrying amount	Weighted average loss rate	Loss allowance provision
Current	\$ 4,295,890	0.462%	19,853
Past due within 3 months	153,901	2.040%	3,139
Past due 3 to 6 months	532	2.266%	12
	\$ 4,450,323		23,004

The movement in the allowance for notes and accounts receivable were as follows:

	For the years ended December 31	
	2025	2024
Balance at the end of the period (i.e. balance at the beginning of the period)	\$ 23,004	23,004

As of December 31, 2025 and 2024, the Company did not provide any notes and accounts receivable as collateral for its loans.

(c) Other receivables

	December 31, 2025	December 31, 2024
Other receivables—other related parties	\$ 64,399	16,085
Tax refund receivable	111,642	93,882
Others	11,954	12,634
	\$ 187,995	122,601

For further credit risk information, please refers to note 6(p).

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NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

(d) Inventories

	December 31, 2025	December 31, 2024
Finished goods	\$ 271,606	158,457
Work in process	2,067,507	1,629,065
Raw materials	471,404	358,751
Supplies	<u>178,517</u>	<u>188,209</u>
	<u>\$ 2,989,034</u>	<u>2,334,482</u>

The details of costs of sales were as follows:

	For the years ended December 31	
	2025	2024
Inventory that has been sold	\$ 22,249,132	16,655,830
Write-down of inventories (Reversal of write-downs)	(473)	2,374
Unapportioned manufacturing expenses	<u>3,638,971</u>	<u>4,298,306</u>
Total	<u>\$ 25,887,630</u>	<u>20,956,510</u>

The reversal of write-downs of inventories amounting to \$473 for the year ended December 31, 2025 was due to the increase in market price which led to the increase in net realizable value; while the write-down of inventories for the year ended December 31, 2024 amounted to \$2,374.

As of December 31, 2025 and 2024, the Company did not provide any inventories as collateral for its loan.

(e) Investments accounted for using the equity method

The components of the investments accounted for using equity method were as follows:

	December 31, 2025	December 31, 2024
Subsidiaries	\$ 19,904,250	22,804,650
Associates	<u>500,196</u>	<u>459,726</u>
	<u>\$ 20,404,446</u>	<u>23,264,376</u>

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

(i) Subsidiaries

For subsidiaries, please refer to the consolidated financial statements for the year ended December 31, 2025.

(ii) Associates

The Company's financial information for investments accounted for using the equity method that are individually insignificant were as follows:

Aggregate information of associates that were not individually material:

	For the years ended December 31	
	2025	2024
Attributable to the Company:		
Net income	\$ 18,343	26,889
Other comprehensive income	<u>41,362</u>	<u>(42,082)</u>
Total comprehensive income	<u>\$ 59,705</u>	<u>(15,193)</u>

(iii) Collateral

As of December 31, 2025 and 2024, the Company did not provide any investments accounted for using equity method as collateral for its loans.

(f) Property, plant and equipment

The cost and accumulated depreciation and impairment of the property, plant and equipment of the Company were as follows:

	Building	Machinery and equipment	Vehicles	Miscellaneous equipment	Unfinished construction and equipment pending acceptance	Total
Cost:						
Balance as of January 1, 2025	\$ 2,259,532	37,812,327	19,690	6,010,922	7,449,276	53,551,747
Additions	-	155,981	-	23,685	1,693,259	1,872,925
Disposals	-	(1,118,932)	-	(22,842)	-	(1,141,774)
Reclassification	<u>51,759</u>	<u>5,406,262</u>	<u>(524)</u>	<u>2,574,037</u>	<u>(8,031,534)</u>	<u>-</u>
Balance as of December 31, 2025	<u>\$ 2,311,291</u>	<u>42,255,638</u>	<u>19,166</u>	<u>8,585,802</u>	<u>1,111,001</u>	<u>54,282,898</u>
Balance as of January 1, 2024	\$ 2,200,616	36,659,536	20,241	5,902,890	8,119,803	52,903,086
Additions	-	230,871	297	46,932	1,611,489	1,889,589
Disposals	-	(1,218,932)	(848)	(21,148)	-	(1,240,928)
Reclassification	<u>58,916</u>	<u>2,140,852</u>	<u>-</u>	<u>82,248</u>	<u>(2,282,016)</u>	<u>-</u>
Balance as of December 31, 2024	<u>\$ 2,259,532</u>	<u>37,812,327</u>	<u>19,690</u>	<u>6,010,922</u>	<u>7,449,276</u>	<u>53,551,747</u>

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

	<u>Building</u>	<u>Machinery and equipment</u>	<u>Vehicles</u>	<u>Miscellaneous equipment</u>	<u>Unfinished construction and equipment pending acceptance</u>	<u>Total</u>
Accumulated depreciation and impairment:						
Balance as of January 1, 2025	\$ 1,505,392	22,782,340	11,106	3,846,299	-	28,145,137
Depreciation for the period	53,766	4,073,153	1,685	335,110	-	4,463,714
Disposals	-	(1,099,054)	-	(22,599)	-	(1,121,653)
Reclassification	-	977	(524)	(453)	-	-
Balance as of December 31, 2025	<u>\$ 1,559,158</u>	<u>25,757,416</u>	<u>12,267</u>	<u>4,158,357</u>	<u>-</u>	<u>31,487,198</u>
Balance as of January 1, 2024	\$ 1,448,055	20,475,632	10,242	3,604,656	-	25,538,585
Depreciation for the period	57,337	3,501,454	1,712	260,621	-	3,821,124
Reversal of impairment loss	-	(75)	-	-	-	(75)
Disposals	-	(1,194,891)	(848)	(18,758)	-	(1,214,497)
Reclassification	-	220	-	(220)	-	-
Balance as of December 31, 2024	<u>\$ 1,505,392</u>	<u>22,782,340</u>	<u>11,106</u>	<u>3,846,299</u>	<u>-</u>	<u>28,145,137</u>
Carrying amounts:						
Balance as of December 31, 2025	<u>\$ 752,133</u>	<u>16,498,222</u>	<u>6,899</u>	<u>4,427,445</u>	<u>1,111,001</u>	<u>22,795,700</u>
Balance as of December 31, 2024	<u>\$ 754,140</u>	<u>15,029,987</u>	<u>8,584</u>	<u>2,164,623</u>	<u>7,449,276</u>	<u>25,406,610</u>

The Company recognized a reversal of impairment loss of \$75 in 2024, due to some equipment did not meet the requirement for future manufacturing process, the Company expected to reduce the future cash inflows, resulting in the recoverable amount of the equipment is less than the carrying amount, and then a reversal of the impairment loss was generated due to the resumption of the use of the equipment and the sale of part of the equipment. The Company used the value-in-use as the recoverable amount of property, plant and equipment. Gain on reversal of impairment losses and impairment losses were recognized in the income statement under "other gains and losses".

(g) Right-of-use assets

The Company leases assets including land and buildings. Information about leases for which the Company as a lessee is presented below:

	<u>Land</u>	<u>Buildings</u>	<u>Total</u>
Cost:			
Balance as of January 1, 2025	\$ 393,298	2,178,168	2,571,466
Write off	-	(24,582)	(24,582)
Change in an index of lease payment	11,499	11,322	22,821
Balance as of December 31, 2025	<u>\$ 404,797</u>	<u>2,164,908</u>	<u>2,569,705</u>
Balance as of January 1, 2024	\$ 384,615	2,135,615	2,520,230
Additions	-	14,224	14,224
Change in an index of lease payment	8,683	28,329	37,012
Balance as of December 31, 2024	<u>\$ 393,298</u>	<u>2,178,168</u>	<u>2,571,466</u>

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

	<u>Land</u>	<u>Buildings</u>	<u>Total</u>
Accumulated depreciation:			
Balance as of January 1, 2025	\$ 229,732	882,482	1,112,214
Depreciation for the period	75,768	192,363	268,131
Write off	-	(22,931)	(22,931)
Balance as of December 31, 2025	<u>\$ 305,500</u>	<u>1,051,914</u>	<u>1,357,414</u>
Balance as of January 1, 2024	\$ 157,831	684,542	842,373
Depreciation for the period	71,901	197,940	269,841
Balance as of December 31, 2024	<u>\$ 229,732</u>	<u>882,482</u>	<u>1,112,214</u>
Carrying amount:			
Balance as of December 31, 2025	<u>\$ 99,297</u>	<u>1,112,994</u>	<u>1,212,291</u>
Balance as of December 31, 2024	<u>\$ 163,566</u>	<u>1,295,686</u>	<u>1,459,252</u>
(h) Lease liabilities			

The carrying amount of the lease liabilities was as follows:

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Current	<u>\$ 248,048</u>	<u>263,160</u>
Non-current	<u>\$ 986,579</u>	<u>1,216,311</u>

For the maturity analysis, please refer to note 6(p).

The amounts recognized in profit or loss was as follows:

	<u>For the years ended December 31 2025</u>	<u>2024</u>
Interest on lease liabilities	<u>\$ 13,739</u>	<u>16,195</u>
Variable lease payment not included in the measurement of lease liabilities; expenses relating to short-term leases; expenses relating to leases of low-value assets	<u>\$ 35,586</u>	<u>30,712</u>

The amounts recognized in the statement of cash flows for the Company was as follows:

	<u>For the years ended December 31 2025</u>	<u>2024</u>
Total cash outflow for leases	<u>\$ 315,339</u>	<u>312,053</u>

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

(i) Real estate leases

The Company leases land and buildings to be used for its office space and plants, which typically runs for a period of 2 to 10 years.

(ii) Other leases

The Company leases equipment with contract periods within a year. These leases are short-term leases or leases of low-value items. The Company has elected not to recognize its right-of-use assets and lease liabilities for these leases.

(i) Employee benefits

(i) Defined benefit plans

Reconciliation of defined benefit obligation at present value and plan asset at fair value were as follows:

	December 31, 2025	December 31, 2024
Present value of the defined benefit obligations	\$ 2,465,638	2,273,503
Fair value of the plan assets	<u>(1,594,532)</u>	<u>(1,346,724)</u>
Net defined benefit liabilities	<u>\$ 871,106</u>	<u>926,779</u>

1) Composition of the plan assets

The Labor Pension Fund Supervisory Committee (the “LPFSC”) manages the Company’s pension fund which is being funded according to the Labor Standards Act. Under the Regulations for Revenues, Expenditures, Safeguard and Utilization of the Labor Retirement Fund, minimum earnings in the annual distributions on the final financial statements shall be no less than the earnings attainable from the amounts accrued from two-year time deposits with interest rates offered by the local banks.

As of the report date, the Company’s pension fund with Bank of Taiwan amounted to \$1,594,532. Please refer to the related information published on the website of the Labor Pension Fund Supervisory Committee concerning the utilization of the labor pension fund, related yield rate, and its allocation.

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

- 2) Movements in the present value of the defined benefit obligations were as follows:

The movements in the present value of defined benefit obligations of the Company were as follows:

	For the years ended December 31	
	2025	2024
Present value of defined benefit obligations as of January 1	\$ 2,273,503	2,361,295
Current service cost and interest	40,368	39,832
Remeasurement of net defined loss (benefit) obligations		
-Experience adjustments	318,267	(23,027)
Benefits paid	(166,500)	(104,597)
Present value of defined benefit obligations as of December 31	<u>\$ 2,465,638</u>	<u>2,273,503</u>

- 3) Movements in the fair value of the plan assets were as follows:

The movements in the fair value of the plan assets of the Company were as follows:

	For the years ended December 31	
	2025	2024
Fair value of plan assets as of January 1	\$ 1,346,724	1,248,651
Interest income	19,487	15,447
Remeasurements of net defined benefit obligations		
-Return on plan assets for the period (excluding interest for the period)	97,636	107,318
Appropriations to the plan	263,671	65,248
Benefits paid by plan assets	(132,986)	(89,940)
Fair value of plan assets as of December 31	<u>\$ 1,594,532</u>	<u>1,346,724</u>

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

4) Expense recognized as profit or loss

Expense of the Company recognized as profit or loss were as follows:

	For the years ended December 31	
	2025	2024
Current service cost	\$ 7,926	10,898
Net interest of defined benefit obligations	12,955	13,487
	\$ 20,881	24,385

	For the years ended December 31	
	2025	2024
Operating costs	\$ 17,521	20,281
Selling expenses	596	834
Administrative expenses	2,764	3,270
	\$ 20,881	24,385

5) Remeasurements of the net defined benefit obligations recognized as other comprehensive income

The Company's cumulated pretax remeasurements of the net defined benefit obligations recognized in other comprehensive income were as follows:

	For the years ended December 31	
	2025	2024
Balance as of January 1	\$ (34,447)	(164,792)
Recognized in the current period	(220,631)	130,345
Balance as of December 31	\$ (255,078)	(34,447)

6) Actuarial assumptions

The principal actuarial assumptions were as follows:

	December 31, 2025	December 31, 2024
Discount rate	1.25 %	1.45 %
Future salary increase rate	2.85 %	2.85 %

The Company is expected to make a contribution of \$67,102 to the defined benefit plans for the one-year period after the reporting date.

The weighted average duration of the defined benefit plan is 9.8 years.

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

7) Sensitivity analysis

The effects on the present value of the defined benefit obligation arising from changes in principal actuarial assumptions were as follows:

	Effect on present value of defined benefit obligations	
	Decrease Amount	Increase Amount
December 31, 2025		
Discount rate (0.25% variation)	\$ 53,781	(52,074)
Future salaries (1% variation)	(196,525)	218,597
December 31, 2024		
Discount rate (0.25% variation)	53,549	(51,755)
Future salaries (1% variation)	(195,091)	218,630

The sensitivity analysis was conducted based on the assumption that only a single variable changed and all other variables remained constant. However, the assumptions may be correlated. The sensitivity analysis adopts the same methods used in determining the defined benefit liability on the balance sheet.

The same methods and assumptions are adopted in the two-year sensitivity analysis.

(ii) Defined contribution plan

The Company contributes an amount equal to 6% of the employees' monthly wages to the labor pension personal account of the Bureau of Labor Insurance in accordance with the provisions of the Labor Pension Act, under which, the Company is not required to bear the regulated or putative obligation subsequent to the payment of fixed-rate contribution.

The Company's pension costs under the contribution pension plan amounted to \$199,873 and \$191,640 for the years ended December 31, 2025 and 2024, respectively.

(j) Income tax

(i) Income tax expense

The details of income tax expense (benefit) for company were as follows:

	For the years ended December 31,	
	2025	2024
Current income tax expense	\$ 825,149	346,465
Deferred income tax benefit	(427,413)	(388,990)
Income tax expense (benefit)	<u><u>\$ 397,736</u></u>	<u><u>(42,525)</u></u>

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

The details of income tax (benefit) expense under other comprehensive income for company were as follows:

	For the years ended December 31	
	2025	2024
Components of other comprehensive income that will not be reclassified to profit or loss:		
Remeasurements of defined benefit plans	\$ <u>(44,126)</u>	<u>26,069</u>
Components of other comprehensive income that will be reclassified to profit or loss:		
Exchange differences on translation of foreign financial statements	\$ <u>(125,863)</u>	<u>240,341</u>

Reconciliation of income tax expense (benefit) and profit before tax for company were as follow:

	For the years ended December 31	
	2025	2024
Profit before tax	\$ <u>2,344,511</u>	<u>161,202</u>
Income tax expense calculated based on profit before tax	\$ 468,902	32,240
Effect of profit of associates accounted for using equity method	(3,669)	(5,378)
Other adjustments required by the tax law	11,604	5,363
Investment tax credits	(85,612)	(74,750)
Adjustment for prior periods	<u>6,511</u>	<u>-</u>
Income tax expense (benefit)	\$ <u>397,736</u>	<u>(42,525)</u>

(ii) Deferred tax assets and liabilities

1) Unrecognized deferred tax assets and liabilities

As of December 31, 2025 and 2024, the Company has no unrecognized deferred tax assets and liabilities.

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

2) Recognized deferred tax liabilities and assets

Movements in recognized deferred tax assets and liabilities for the years ended December 31, 2025 and 2024 were as follows:

Deferred tax assets:

	Defined benefit plan	Exchange differences on translation of foreign financial statements	Others	Total
Balance on January 1, 2025	\$ 178,722	23,824	111,395	313,941
Recognized in profit or loss	(55,259)	-	32,392	(22,867)
Recognized in other comprehensive income	44,126	125,863	-	169,989
Balance on December 31, 2025	\$ 167,589	149,687	143,787	461,063
Balance on January 1, 2024	\$ 215,895	264,165	167,079	647,139
Recognized in profit or loss	(11,104)	-	(55,684)	(66,788)
Recognized in other comprehensive income	(26,069)	(240,341)	-	(266,410)
Balance on December 31, 2024	\$ 178,722	23,824	111,395	313,941

Deferred tax liabilities:

	Foreign investment income	Others	Total
Balance on January 1, 2025	\$ 2,535,751	449,976	2,985,727
Recognized in profit or loss	(463,254)	12,974	(450,280)
Balance on December 31, 2025	\$ 2,072,497	462,950	2,535,447
Balance on January 1, 2024	\$ 2,984,120	457,385	3,441,505
Recognized in profit or loss	(448,369)	(7,409)	(455,778)
Balance on December 31, 2024	\$ 2,535,751	449,976	2,985,727

(iii) The Company's tax returns for the year through 2023 were assessed by the ROC tax authority.

(k) Capital and other equity interest

(i) Ordinary share

As of December 31, 2025 and 2024, the Company's total authorized capital both amounted to \$7,000,000, of which \$84,110 were reserved for stock options. As of December 31, 2025 and 2024, the total authorized common stocks were both 700,000 thousand shares, and the total issued common stocks both amounted to 646,166 thousand shares, with \$10 par value per share. All issued shares were paid up upon issuance.

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

(ii) Capital surplus

The components of capital surplus were as follows:

	December 31, 2025	December 31, 2024
Paid-in capital in excess of par value	\$ 17,874,841	17,874,841
Employee stock options	250,434	250,434
Others	<u>373</u>	<u>357</u>
	<u>\$ 18,125,648</u>	<u>18,125,632</u>

According to the R.O.C. Company Act, capital surplus can only be used to offset a deficit, and only the realized capital surplus can be used to increase the common stock or be distributed as cash dividends. The aforementioned realized capital surplus includes capital surplus resulting from premium on issuance of capital stock and earnings from donated assets received. According to the Regulations Governing the Offering and Issuance of Securities by Securities Issuers, capital increases by transferring capital surplus should not exceed 10% of the total common stock outstanding.

(iii) Retained earnings

According to the rules of the Company's articles, any earnings of an annual final accounting shall first be used to pay income taxes and to offset accumulated losses. Thereafter, 10% of the remaining earnings shall be appropriated as legal reserve; however, this requirement shall not apply once the legal reserve has reached the amount of the paid-in capital. The Company may also appropriate a special reserve when necessary. If there are any remaining earnings for the year, together with unappropriated earnings accumulated from prior years, the Board of Directors shall prepare a proposal for the distribution of dividends. The distribution of cash dividends is authorized to be approved by a resolution adopted by a majority vote at a meeting attended by at least 2/3 of the directors, and shall be reported to the shareholders' meeting thereafter; while the distribution of stock dividends shall be submitted to the shareholders' meeting for approval.

The Company adopts three kinds of dividend distribution policies, which are cash dividends, capitalization of earnings, and capital surplus. The net earnings after deducting the legal reserve and special reserve may first be distributed by way of cash dividends which shall be equal to at least fifty percent of the Company's total dividend distribution every year. The capitalization of earnings and capital surplus shall not exceed fifty percent of the total dividends.

1) Legal reserve

When a company incurs no loss, it may, pursuant to a resolution by a shareholders' meeting, distribute its legal reserve by issuing new shares or by distributing cash, and only the portion of legal reserve which exceeds 25% of capital may be distributed.

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

2) Special reserve

According to Ruling by FSC, when the Company distributes its earnings, it should set aside from the earnings of the current period and the accumulated unappropriated earnings a special reserve which is equivalent to the amount of the net reductions of other equity interest in the current period. If the distributed earnings were appropriated from the accumulated unappropriated earnings of prior periods, a special reserve which is equivalent to the amount of the distribution should be appropriated. If subsequently there is a reversal of the reductions in other equity interest, earnings can be distributed from the reversal. Except for the above appropriations required by the regulations, the special reserve also includes:

The special reserve includes the following:

- a) Special reserve recorded for special purposes.
- b) Investment income under the equity method.
- c) Net valuation gains from financial instrument transactions. Only when its accumulated amount decreases, the special reserve should be decreased at the same amount and is restricted to the recognized amount in this item.

(iv) Earnings distribution

The 2024 and 2023 earnings distribution had been approved during the board meetings held on February 27, 2025 and February 29, 2024, respectively, as follows:

	2024		2023	
	Dividends per share (NTD)	Amount	Dividends per share (NTD)	Amount
Dividends distributed to ordinary shareholders:				
Cash	\$ 1.00	<u>646,166</u>	5.50	<u>3,553,910</u>

The amount of cash dividends on the 2025 earnings distribution had been approved and proposed, respectively during the board meeting on February 24, 2026, as follows:

	2025	
	Dividends per share (NTD)	Amount
Dividends distributed to ordinary shareholders:		
Cash	\$ 2.00	<u>1,292,331</u>

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

(v) Other equity interest (net of tax)

	Exchange differences on translation of foreign financial statements	Unrealized gains (losses) on financial assets at fair value through other comprehensive income	Total
Balances as of January 1, 2025	\$ (95,298)	(229,130)	(324,428)
Exchange differences on translation of foreign operations	(503,454)	-	(503,454)
Unrealized gains (losses) on financial assets at fair value through other comprehensive income	-	10,486	10,486
Unrealized gains (losses) from financial assets measured at fair value through other comprehensive income, associates accounted for using the equity method	-	41,594	41,594
Balances as of December 31, 2025	<u><u>\$ (598,752)</u></u>	<u><u>(177,050)</u></u>	<u><u>(775,802)</u></u>
Balances as of January 1, 2024	\$ (1,056,659)	(55,915)	(1,112,574)
Exchange differences on translation of foreign operations	961,361	-	961,361
Unrealized gains (losses) on financial assets at fair value through other comprehensive income	-	(130,925)	(130,925)
Unrealized gains (losses) from financial assets measured at fair value through other comprehensive income, associates accounted for using the equity method	-	(42,290)	(42,290)
Balances as of December 31, 2024	<u><u>\$ (95,298)</u></u>	<u><u>(229,130)</u></u>	<u><u>(324,428)</u></u>

(l) Earnings per share

Calculation of earnings per share for company were as follows:

(i) Basic earnings per share

1) Net profit attributable to equity shareholders of the Company

	For the years ended December 31
	2025 2024
Net profit attributable to equity shareholders of the Company	<u><u>\$ 1,946,775</u></u> <u><u>203,727</u></u>

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

2) Weighted average number of ordinary shares outstanding

	For the years ended December 31	
	2025	2024
Weighted average number of ordinary shares outstanding (in thousands of shares)	<u><u>646,166</u></u>	<u><u>646,166</u></u>

(ii) Diluted earnings per share

1) Net profit attributable to equity shareholders of the Company (diluted)

	For the years ended December 31	
	2025	2024
Net profit attributable to equity shareholders of the Company (diluted)	<u><u>\$ 1,946,775</u></u>	<u><u>203,727</u></u>

2) Weighted average number of ordinary shares outstanding (diluted)

	For the years ended December 31	
	2025	2024
Weighted average number of ordinary shares outstanding (basic) (in thousands of shares)	646,166	646,166
Effects of dilutive potential ordinary shares		
Effects of employee stock compensation (in thousands of shares)	<u>20</u>	<u>13</u>
Weighted average number of ordinary shares outstanding (diluted) (in thousands of shares)	<u><u>646,186</u></u>	<u><u>646,179</u></u>

(m) Revenue from contracts with customers

(i) Disaggregation of revenue

	For the years ended December 31	
	2025	2024
Primary geographical markets:		
Taiwan	\$ 12,790,935	8,628,454
USA	2,050,074	2,361,517
Mainland China	7,273,777	6,786,792
Korea	2,338,334	1,224,814
Other countries	<u>5,085,575</u>	<u>2,857,336</u>
	<u><u>\$ 29,538,695</u></u>	<u><u>21,858,913</u></u>

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

		For the years ended December 31	
		2025	2024
Major products:			
Printed circuit board	\$	29,485,296	21,831,367
Others		<u>53,399</u>	<u>27,546</u>
	\$	<u>29,538,695</u>	<u>21,858,913</u>
 (ii) Contract balances			
		December 31, 2025	December 31, 2024
Accounts receivable — non-related parties	\$	7,103,978	4,441,522
Accounts receivable — related parties		31,040	8,801
Less: Loss allowance		<u>(23,004)</u>	<u>(23,004)</u>
	\$	<u>7,112,014</u>	<u>4,427,319</u>
Contract liabilities — unearned sales revenue	\$	<u>5,515,202</u>	<u>7,733,346</u>
Current	\$	2,218,144	2,218,144
Non-current		<u>3,297,058</u>	<u>5,515,202</u>
	\$	<u>5,515,202</u>	<u>7,733,346</u>

For details on notes and accounts receivable and allowance for impairment, please refer to note 6(b).

The contract liabilities primarily relate to the advance consideration received from customers, for which revenue will be recognized when products are delivered to customers.

The amount of revenue recognized for the years ended December 31, 2025 and 2024 that was included in the contract liability balance at the beginning of the period were \$2,218,144 and \$1,991,749 , respectively.

(n) Employee compensation

On May 27, 2025, the Company resolved at the shareholders' meeting to amend its Articles of Incorporation. According to the amended Articles of Incorporation, if there is profit for the year, 0.05% to 0.5% of the profit before deducting employee compensation for the year should be set aside as employee compensation; among which, 0.03% to 0.3% of the profit before deducting employee compensation for the year should be set aside for salary adjustments or employee compensation for entry-level employees. When the Company incurs an accumulated deficit, the Company should reserve in advance to cover the accumulated deficit. Prior to the amendment, the Articles of Incorporation stipulated that if there is a profit for the year, the Company should set aside 0.05% to 0.5% of the pre-tax earnings before deducting the employees' remuneration for the year as employee compensation. However, if there are accumulated deficits, The Company should reserve an amount to cover such deficits.

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

The estimated remunerations to employees amounted to \$4,698 and \$323 for the years ended December 31, 2025 and 2024, respectively. These amounts were calculated using the Company's net income before tax without the remunerations to employees for each period, multiplied by the proposed percentage which is stated under the Company's Article of Incorporation. These remunerations were expensed under operating costs or expenses for the period. Related information would be available at the Market Observation Post System website.

The remunerations to employees approved by the Board of Directors were same as the financial report for the years ended December 31, 2025 and 2024.

(o) Non-operating income and expenses

(i) Interest income

The details of interest income were as follows:

	For the years ended December 31	
	2025	2024
Interest income from bank deposits	\$ 62,357	123,001
Other interest income	20,078	27,026
	<u>\$ 82,435</u>	<u>150,027</u>

(ii) Other income

The details of other income were as follows:

	For the years ended December 31	
	2025	2024
Lease revenue	\$ 42,554	40,927
Premium revenue	33,643	35,617
Dividend revenue	1,498	2,996
Others	155,815	127,301
	<u>\$ 233,510</u>	<u>206,841</u>

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

(iii) Other gains and losses

The details of other gains and losses were as follows:

	For the years ended December 31	
	2025	2024
Net foreign exchange (losses) gains	\$ (174,420)	443,978
Gains on disposal of property, plant and equipment	12,244	6,886
Reversal of impairment loss on property, plant and equipment	-	75
Others	(8,215)	(3,367)
	<u>\$ (170,391)</u>	<u>447,572</u>

(iv) Finance costs

The details of finance costs were as follows:

	For the years ended December 31	
	2025	2024
Interest expense	<u>\$ 13,810</u>	<u>17,535</u>

(p) Financial instruments

(i) Credit risk

1) Exposure to credit risk

The carrying amount of financial assets after deducting the warranty amount represents the maximum amount exposed to credit risk. As of December 31, 2025 and 2024, the Company's maximum exposure to credit risk were \$5,527,240 and \$3,392,425, respectively.

2) Concentration of credit risk

Since most of the Company's clients are renowned international companies with good credit which scatter in different industries and geographic areas, the Company does not make concentrated transactions with any specific client. Therefore, there is no concentration of credit risk for accounts receivable. In order to reduce its credit risk, the Company assesses the financial condition of clients consistently and periodically.

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

3) Credit risk of receivables

Please refer to note 6(b) for the exposure of credit risk of notes and accounts receivables.

Other financial assets measured at amortized cost includes other receivables and time deposits.

Other receivables and time deposits are considered to have low credit risk as the Company only deals with external parties with good credit ratings and with financial institutions with credit ratings qualified for investing and above.

As of December 31, 2025 and 2024, no allowance for impairment was recognized as there were no indications of impaired credit risk for the 12 month ECL or lifetime ECL for other financial assets measured at amortized cost.

(ii) Liquidity risk

The following table shows the remaining contractual maturities of financial liabilities, including estimated interest payments:

	Carrying amount	Contractual cash flow	Within 6 months	6-12 months	1-2 years	2-5 years	Over 5 years
December 31, 2025							
Non-derivative financial liabilities							
Accounts payable (including related parties)	\$ 1,279,218	1,279,218	1,279,218	-	-	-	-
Other payables (including related parties)	2,016,328	2,016,328	2,016,328	-	-	-	-
Lease liabilities (including current portion)	<u>1,234,627</u>	<u>1,270,398</u>	<u>138,980</u>	<u>120,058</u>	<u>202,272</u>	<u>606,816</u>	<u>202,272</u>
	<u>\$ 4,530,173</u>	<u>4,565,944</u>	<u>3,434,526</u>	<u>120,058</u>	<u>202,272</u>	<u>606,816</u>	<u>202,272</u>
December 31, 2024							
Non-derivative financial liabilities							
Accounts payable (including related parties)	\$ 1,075,382	1,075,382	1,075,382	-	-	-	-
Other payables	1,792,002	1,792,002	1,792,002	-	-	-	-
Lease liabilities (including current portion)	<u>1,479,471</u>	<u>1,528,339</u>	<u>139,612</u>	<u>137,136</u>	<u>253,910</u>	<u>598,609</u>	<u>399,072</u>
	<u>\$ 4,346,855</u>	<u>4,395,723</u>	<u>3,006,996</u>	<u>137,136</u>	<u>253,910</u>	<u>598,609</u>	<u>399,072</u>

It is not expected that the cash flows included in the maturity analysis could occur significantly earlier, or at significantly different amounts.

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

(iii) Currency risk

1) Exposure to foreign currency risk

The Company's significant exposure to foreign currency risk were as follows:

December 31, 2025			
	Foreign currency	Exchange rate	New Taiwan Dollars
<u>Financial assets</u>			
<u>Monetary items</u>			
USD	\$ 232,891	31.4380	7,321,622
EUR	6	36.6957	221
JPY	86,905	0.1997	17,355
CNY	167	4.4727	746
<u>Financial liabilities</u>			
<u>Monetary items</u>			
USD	22,412	31.4380	704,599
JPY	303,590	0.1997	60,627
CNY	15	4.4727	66

December 31, 2024			
	Foreign currency	Exchange rate	New Taiwan Dollars
<u>Financial assets</u>			
<u>Monetary items</u>			
USD	\$ 226,717	32.7810	7,431,998
EUR	25	34.0652	835
JPY	36,192	0.2087	7,553
CNY	550	4.5602	2,508
<u>Financial liabilities</u>			
<u>Monetary items</u>			
USD	16,023	32.7810	525,264
JPY	368,174	0.2087	76,838

2) Sensitivity analysis

The Company's exposure to foreign currency risk arises from the foreign currency exchange fluctuations on cash and cash equivalents, accounts receivable, other receivables, accounts payable and other payables which are denominated in foreign currencies. A 1% depreciation or appreciation of the NTD against the USD, EUR, JPY and CNY as of December 31, 2025 and 2024 would have increased or decreased the net income before tax by \$65,747 and \$68,408 for the years ended December 31, 2025 and 2024, respectively. The analysis is performed on the same basis for both periods.

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

3) Foreign exchange gain and loss on monetary items

Due to the variety of functional currencies, the Company disclosed its aggregated foreign exchange (losses) gains ; the Company's foreign exchange gains and losses, including realized and unrealized, for the years ended December 31, 2025 and 2024 were the net exchange (losses) gains of \$(174,420) and \$443,978, respectively.

(iv) Interest rate analysis

The Company's exposure to interest rate risk arising from financial assets and liabilities is described in the liquidity risk section of this note.

The following sensitivity analysis is based on the risk exposure to interest rates of the derivative and non-derivative financial instruments on the reporting date. For floating rate instruments, the sensitivity analysis assumes the liabilities bearing variable interest rates are outstanding for the whole year. A 1% increase or decrease in interest rate is assessed by management to be a reasonably possible change in interest rate.

If the interest rates increase or decrease by 1%, (with all the other factors remain constant) for the years ended December 31, 2025 and 2024, no significant impact on the Company's profit would occur.

(v) Fair value of information

1) Fair value of financial instruments

The carrying amount of the Company's financial assets and liabilities is reasonably close to the fair value, and lease liabilities, disclosure of fair value information is not required :

	December 31, 2025				
	Carrying amount	Fair Value			
		Level 1	Level 2	Level 3	Total
Financial assets at fair value through other comprehensive income					
Domestic listed stocks	\$ 116,844	116,844	-	-	116,844
Financial assets measured by amortized cost					
Cash and cash equivalents	4,849,251	-	-	-	-
Accounts receivable, net (including related parties)	7,112,014	-	-	-	-
Other receivables (including related parties)	76,353	-	-	-	-
Total	\$ 12,154,462	116,844	-	-	116,844

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

	December 31, 2025				
	Carrying amount	Fair Value			
		Level 1	Level 2	Level 3	Total
Financial liabilities measured by amortized cost					
Accounts payable (including related parties)	\$ 1,279,218	-	-	-	-
Other payables (including related parties)	2,016,328	-	-	-	-
Lease liabilities (including current portion)	1,234,627	-	-	-	-
Total	<u>\$ 4,530,173</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>
	December 31, 2024				
	Carrying amount	Fair Value			
		Level 1	Level 2	Level 3	Total
Financial assets at fair value through other comprehensive income					
Domestic listed stocks	\$ 106,358	106,358	-	-	106,358
Financial assets measured by amortized cost					
Cash and cash equivalents	4,277,099	-	-	-	-
Notes and accounts receivable, net (including related parties)	4,427,319	-	-	-	-
Other receivables (including related parties)	28,719	-	-	-	-
Total	<u>\$ 8,839,495</u>	<u>106,358</u>	<u>-</u>	<u>-</u>	<u>106,358</u>
Financial liabilities measured by amortized cost					
Accounts payable (including related parties)	\$ 1,075,382	-	-	-	-
Other payables	1,792,002	-	-	-	-
Lease liabilities (including current portion)	1,479,471	-	-	-	-
Total	<u>\$ 4,346,855</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

(q) Financial risk management

(i) Nature and extent

The Company has exposures to the following risks from holding certain financial instruments:

- 1) Credit risk
- 2) Liquidity risk
- 3) Market risk

This note expresses the information of risk exposure, the goals, policies and procedures for the Company to measure and manage risks. Please refer to each note in financial statements for further quantitative disclosures.

(ii) Framework of risk management

The risk management policies are established according to the regulations of the authorities and the policy of the corporation. The Company understands that risk management is crucial to the business operation when facing the ever-changing market conditions. The Company, through strict internal control and complete risk management system, aims to effectively control the credit, liquidity, and market risk when operating. By doing so, the Company hopes to achieve its goal of sustainable operation.

The internal audit section of the Company reviews the effectiveness and appropriateness of each risk hedge transaction on a nonscheduled basis and reports the results to the Board of Directors.

(iii) Credit risk

Credit risk is the risk that resulted from receivables generated from operating activities and financial investments (including bank deposits, investments with fixed return, and other financial instruments).

1) Accounts receivable

To insure the collection of accounts receivable, the Company established risk management relating to operations, including operation goal management, credit authorization management, and accounts receivable management, constantly paying attention to the operating condition and dynamics of the client in order to take necessary measures and to prevent impairment of accounts receivable.

Most of the counterparties of the Company's accounts receivable are renowned international companies with good reputation, scattering across different industrial and geographic regions.

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

2) Financial investments

The credit risk of bank deposits, fixed return investments and other financial instruments conforms to the financial framework of the Company. To prevent default from counterparties due to credit abnormalities, the Company trades mostly with companies with long-term credit rating, larger scale and higher liquidity. Also, the Company explicitly states different credit levels and ranges for counterparties according to the risk and period of financial instruments.

(iv) Liquidity risk

The goal of liquidity risk management of the Company is to ensure enough cash and cash equivalents, highly liquid securities, and sufficient bank financing credit to ensure sufficient financial flexibility.

(v) Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates, and equity prices, will affect the Company's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimizing the return.

1) Exchange rate risk

The Company's exposure to currency risk is on sales and purchases that are denominated in a currency other than the respective functional currencies of the Company, primarily the New Taiwan Dollars (NTD). The currencies used in these transactions are denominated in NTD, USD, JPY, EUR and CNY.

Deficit of foreign currency funds for daily operations are offset by spot exchange or forward exchange agreements bought in during an advantageous situation. For foreign currency long-term debt, in order to minimize the impact of exchange rate changes on the Company's profit, the Company signs long period forward exchange agreements or cross currency swaps with several renowned international banks at times when exchange rates are favorable.

2) Interest rate risk

The Company has no short-term or long-term loans. Therefore, the fluctuation of interest rate in the market do not have significant impact on the Company's cash flows.

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

(r) Capital management

The capital management of the Company focuses on ensuring necessary financial resources and operation plans support the Company's operating funds, capital expenditure, research and development expense, and dividend payments in the following 12 months.

(s) Investing and financing activities not affecting current cash flow

The Company's investing and financing activities which did not affect the current cash flow for the years ended December 31, 2025 and 2024 were as follows:

(i) For right-of-use assets under leases, please refer to note 6(g).

(ii) Reconciliation of liabilities arising from financing activities were as follows:

			<u>Non-cash changes</u>		
	<u>January 1, 2025</u>	<u>Cash flows</u>	<u>Acquisition</u>	<u>Changes in lease payments</u>	<u>December 31, 2025</u>
Lease liabilities (including current portion)	\$ <u>1,479,471</u>	<u>(266,014)</u>	<u>22,821</u>	<u>(1,651)</u>	<u>1,234,627</u>

			<u>Non-cash changes</u>		
	<u>January 1, 2024</u>	<u>Cash flows</u>	<u>Acquisition</u>	<u>Changes in lease payments</u>	<u>December 31, 2024</u>
Lease liabilities (including current portion)	\$ <u>1,693,381</u>	<u>(265,146)</u>	<u>51,236</u>	<u>-</u>	<u>1,479,471</u>

(7) Related-party transactions

(a) Parent company and ultimate controlling party

Nan Ya Plastics Corporation is both the parent company and the ultimate controlling party of the Company. It owns 66.97% of all shares outstanding of the Company, and has issued the Consolidated Financial Statements Available for Public Use.

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NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

(b) Names and relationship with related parties

The following are entities that have had transactions with the Company during the periods covered in the financial statements.

<u>Name of related party</u>	<u>Relationship with the Company</u>
Nan Ya Plastics Corporation (NYPC)	The parent company
Nan Ya PCB (Hong Kong) Corp. (NPHK)	The Company's subsidiary
Nan Ya PCB (USA) Corp. (NPUC)	The Company's subsidiary
Nan Ya PCB (Kunshan) Corp. (NPKC)	The Company's subsidiary
Formosa Advanced Technologies Co., Ltd. (FATC)	The Company's associates
Formosa Plastics Corporation (FPC)	The Company's parent company is the company's board of director
Formosa Biomedical Technology Corp.	The Company's parent company is a board of director of the company
Wellink Technology Co., Ltd.(WTC)	The Company's parent company is the ultimate controlling parent of the company

(c) Significant related-party transactions

(i) Operating revenues

Significant sales to related parties were as follows:

	<u>For the years ended December 31</u>	
	<u>2025</u>	<u>2024</u>
Subsidiaries — NPKC	\$ 33,857	3,553
Associates	417,839	244,226
Other related parties	<u>1,024</u>	<u>625</u>
	<u>\$ 452,720</u>	<u>248,404</u>

The selling prices and collection terms for the sales to related parties above are not significantly different from those third-party customers, and the normal credit term with the related parties above is collection on open account 70 days. There is no collateral received among related parties accounts receivable and there is no need to estimate loss allowance.

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

Downstream realized (unrealized) sales profits arising from sales to subsidiary, NPKC, were as follows:

	For the years ended December 31	
	2025	2024
Downstream unrealized sales profits	\$ (92)	(174)
Downstream realized sales profits	174	745
	\$ 82	571

As of December 31, 2025 and 2024, the balances of unrealized profits from inter-company sales transactions were \$92 and \$174, respectively, which were recognized as a deduction of investments accounted for using equity method.

(ii) Receivables from related parties

The balance of accounts receivable from related parties were as follows:

Account	Relationship	December 31, 2025	December 31, 2024
Accounts receivable due from related parties	Subsidiaries—NPKC	\$ 26,713	895
Accounts receivable due from related parties	Associates	4,244	7,861
Accounts receivable due from related parties	Other related parties	83	45
		\$ 31,040	8,801

(iii) Purchases from related parties

Significant purchases from related parties were as follows:

	For the years ended December 31	
	2025	2024
The parent company	\$ 1,812,883	1,636,724
Subsidiaries—NPKC	4,586,733	4,079,415
Other related parties	177,598	124,730
	\$ 6,577,214	5,840,869

The purchase price from related parties is not significantly different from non-related general parties. The normal credit term with the related parties above is collected on open account 30 days, on open account 90 days, and on the day following the day of approving payment, respectively.

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

(iv) Payables to related parties

The details of accounts payable to related parties were as follows:

<u>Account</u>	<u>Relationship</u>	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Accounts payable to related parties	The parent company	\$ 92,465	141,630
Accounts payable to related parties	Subsidiaries — NPKC	445,157	361,726
Accounts payable to related parties	Other related parties	10,575	8,969
		<u>\$ 548,197</u>	<u>512,325</u>

(v) Property transactions

- 1) For the year ended December 31, 2025 and 2024, the Company purchased machinery and equipment from its subsidiary, NPKC, with the acquisition price of \$58,908 and \$53,306, respectively. As of December 31, 2025 and 2024, the Company still had unpaid payables accounted for as other payables to related parties amounting to \$58,908 and \$0, respectively.
- 2) For the year ended December 31, 2025, the Company purchased machinery and equipment from the parent company with the acquisition price of \$332,948. As of December 31, 2025, the Company still had unpaid payables accounted for as other payables to related parties amounting to \$66,590.
- 3) For the year ended December 31, 2025 and 2024, the Company sold equipment to NPKC at \$56,450 and \$44,480, respectively. As of December 31, 2025 and 2024, the remaining balances of \$48,518 and \$0, respectively, which were recognized as other receivables and has yet to be collected, were due from related parties.
- 4) Downstream realized (unrealized) gain on disposal resulting from the sale of equipment to its subsidiary, NPKC, were as follows:

	For the years ended December 31	
	<u>2025</u>	<u>2024</u>
Unrealized downstream gain on disposal of property, plant and equipment	\$ (40,962)	(25,781)
Realized downstream gain on disposal of property, plant and equipment	18,904	11,502
	<u>\$ (22,058)</u>	<u>(14,279)</u>

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

As of December 31, 2025 and 2024, unrealized gain on disposal of property, plant and equipment, amounted to \$86,010 and \$63,952, respectively, and was recognized as a deduction of the investments accounted for as using equity method.

(vi) Lease of property, plant and equipment

- 1) The lease revenue of the Company from leasing its property, plant and equipment to its related parties were as follows:

	Other income	
	For the years ended	
	December 31	
	2025	2024
The parent company	\$ 12,751	12,564

The rentals charged to related parties are determined based on the local market prices and rents that are collected monthly depending on the contract. As of December 31, 2025 and 2024 there was no unreceived balance .

- 2) The rental expenses of the Company's property, plant and equipment leased from its related parties were as follows:

The Company entered into different lease agreements with its parent company for its Taipei office, as well as its factories and employee dormitories, both located at Luchu Dist., Taoyuan City and Shulin Dist., New Taipei City, with monthly rental fees based on the local market prices within their respective vicinities. For the years ended December 31, 2025 and 2024, the above rentals amounting to \$35,586 and \$30,712, respectively, were recognized as expenses. For the years ended December 31, 2025 and 2024, the amount of \$13,719 and \$16,106 was recognized as interest expense. As of December 31, 2025 and 2024, the balance of lease liabilities amounting to \$1,234,627 and \$1,474,778.

For the years ended December 31, 2025 and 2024, the Company recognized the additional amount of \$0 and \$9,284 of right-of-use assets.

(vii) Others

The Company appointed NPUC to collect business information, do credit investigation and introduce clients on its behalf; the commission paid to NPUC for the years ended December 31, 2025 and 2024 are \$30,646 and \$30,562, respectively, and all of payable had been paid as of December 31, 2025 and 2024.

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

For the years ended December 31, 2025 and 2024, the Company transferred the license for substrate production to its subsidiary NPKC., and was recognized, at a consideration amount of \$33,643 and \$35,617, with the remaining balance of \$15,881 and \$16,085, recognized as other receivables due from related parties, that has yet to be collected.

(d) Key management personnel compensation

Key management personnel compensation comprised

	For the years ended December 31	
	2025	2024
Short-term employee benefits	\$ <u>21,212</u>	<u>29,051</u>

(8) Pledged assets: None

(9) Significant Commitments and contingencies

- (a) The outstanding letters of credit for the importation of raw materials by the Company were as follows:

	December 31, 2025	December 31, 2024
Outstanding letters of credit for the importation of raw materials	\$ <u>26,565</u>	<u>92,037</u>

- (b) The endorsements by the bank were as follows:

	December 31, 2025	December 31, 2024
The guarantee for customs	\$ <u>43,000</u>	<u>26,000</u>
The guarantee for letters of credit	\$ <u>20,520</u>	<u>39,500</u>

(10) Losses Due to Major Disasters: None

(11) Subsequent Events: None

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NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

(12) Other

A summary of current-period employee benefits, depreciation, and amortization by function, were as follows:

	For the year ended December 31, 2025			For the year ended December 31, 2024		
	operating costs	operating expenses	Total	operating costs	operating expenses	Total
Employee benefits						
Salaries	4,984,576	589,792	5,574,368	4,203,264	578,052	4,781,316
Labor and health insurance	442,179	44,410	486,589	420,076	45,787	465,863
Pension expenses	198,366	22,388	220,754	192,202	23,823	216,025
Remuneration of directors	-	6,100	6,100	-	6,130	6,130
Other personnel expenses	130,365	12,793	143,158	137,519	13,659	151,178
Depreciation expenses	4,708,332	23,513	4,731,845	4,066,135	24,830	4,090,965

The additional information of the number of employees and the employee benefits were as follows :

	For the years ended December 31	
	2025	2024
Number of employees	<u>5,854</u>	<u>6,155</u>
Number of directors who were not employees	<u>6</u>	<u>6</u>
The average employee benefit	<u>\$ 1,099</u>	<u>913</u>
The average salaries and wages	<u>\$ 953</u>	<u>778</u>
Percentage of average employee salary adjustment	<u>22.49 %</u>	<u>(8.47)%</u>
Remuneration of supervisor	<u>\$ -</u>	<u>-</u>

The Company's remuneration policy for its employees (including directors, supervisors, managers and employees) were as follows:

The Company's remuneration policy for its employees (including directors, supervisors, managers and employees) is based on the consideration of the equity of the shareholders and employees. The Company set up salary and remuneration committees to regularly review its directors and managers' performance evaluation and formulate remuneration policies, systems, standards and structures. Furthermore, the Company attracts and retains talented people by providing its employees with a competitive overall salary.

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NAN YA PRINTED CIRCUIT BOARD CORPORATION

Notes to Financial Statements

(13) Other disclosures

(a) Information on significant transactions

The following is the information on significant transactions required by the “Regulations Governing the Preparation of Financial Reports by Securities Issuers” for the Company:

- (i) Loans to other parties: None
- (ii) Guarantees and endorsements for other parties: None
- (iii) Information regarding securities held at the reporting date (subsidiaries, associates and joint ventures not included): None
- (iv) Related-party transactions for purchases and sales with amounts exceeding the lower of \$100 million or 20% of the capital stock:

(in thousands of New Taiwan Dollars)

Name of company	Related party	Nature of relationship	Transaction details				Transactions with terms different from others		Notes/Accounts receivable (payable)		Note
			Purchase/ (Sale)	Amount	Percentage of total purchases/(sales)	Payment terms	Unit price	Payment terms	Ending balance	Percentage of total notes/accounts receivable (payable)	
The Company	NYPK	Parent company	Purchase	1,812,883	14.14 %	O/A 30 days	-	-	(92,465)	(7.23)%	-
The Company	NPKC	Subsidiary of the Company	Purchase	4,586,733	35.78 %	O/A 30 days	-	-	(445,157)	(34.80)%	-
The Company	FATC	Associates	(sale)	(417,839)	(1.41)%	O/A 70 days	-	-	4,244	0.06%	-
The Company	NTC	Other related parties	Purchase	105,139	0.82 %	O/A 30 days	-	-	(8,728)	(0.68)%	-
NPKC	The Company	Parent company	(sale)	(4,586,733)	(30.07)%	O/A 30 days	-	-	445,157	15.29%	-
NPKC	FATC	Associates	(sale)	(421,143)	(2.76)%	O/A 70 days	-	-	50,884	1.75%	-
NPKC	NEMK	Other related parties	Purchase	675,030	7.72 %	O/A 60 days	-	-	(43,797)	(4.85)%	-
NPKC	WTC	Other related parties	Purchase	102,702	1.17 %	O/A 60 days	-	-	(21,738)	(2.41)%	-

- (v) Receivables from related parties with amounts exceeding the lower of \$100 million or 20% of the capital stock:

(in thousands of New Taiwan Dollars)

Name of company	Counter-party	Nature of relationship	Ending balance	Turnover rate	Overdue		Amounts received in subsequent period	Loss Allowance
					Amount	Action taken		
NPKC	The Company	Parent company	445,157	11.37	-		445,157	-

(b) Information on investees

The following is the information on investees for the year ended December 31, 2025 (excluding information on investees in Mainland China):

(in thousands of shares and New Taiwan Dollars)

Name of investor	Name of investee	Location	Main businesses and products	Original investment amount		Balance as of December 31, 2025			Net income (losses) of investee	Share of profits/(losses) of investee	Note
				December 31, 2025	December 31, 2024	Shares (in thousands)	Percentage of ownership	Carrying amount			
The Company	NPHK	HK	Business of electronic products	8,595,674	8,595,674	2,152,020	100.00 %	19,880,812	(135,831)	(135,831)	
The Company	NPUC	USA	Customer sales promotion	3,479	3,479	1,000	100.00 %	23,438	1,986	1,986	
The Company	FATC	TW	Assembling testing and producing modules for IC	472,968	472,968	13,267	3.00 %	500,196	602,632	18,343	Note

Note: Investee company accounted for using equity method.

(Continued)

NAN YA PRINTED CIRCUIT BOARD CORPORATION
Notes to Financial Statements

(c) Information on investment in mainland China

(i) The names of investees in Mainland China, the main businesses and products, and other information:

(in thousands of New Taiwan Dollars)

Name of investee	Main businesses and products	Total amount of paid-in capital	Method of investment	Accumulated outflow of investment from Taiwan as of January 1, 2025	Investment flows		Accumulated outflow of investment from Taiwan as of December 31, 2025	Net income (losses) of the investee	Percentage of ownership	Investment income (losses)	Carrying amount	Accumulated remittance of earnings in current period
					Outflow	Inflow						
NPKC	Production and marketing of PCBs	8,592,495	(Note 1)	8,592,495	-	-	8,592,495	(136,341)	100.00%	(136,341)	19,865,001	4,063,822
										(Note 2)		

Note 1: NPKC in Mainland China is invested through a company established in a third region.

Note 2: Investment income or loss is recognized according to the financial statements audited by the CPA of the Taiwanese parent company.

(ii) Limitation on investment in Mainland China:

(in thousands of New Taiwan Dollars)

Accumulated Investment in Mainland China as of December 31, 2025	Investment Amounts Authorized by Investment Commission, MOEA	Upper Limit on Investment (Note)
8,592,495	8,592,495	-

Note: The Industrial Development Bureau of the MOEA issued a letter to the Company stating that it qualifies under Section 12 of the Statute for Upgrading Industries.

(iii) Significant transactions:

Please refer to “Information on significant transactions” for direct or indirect significant transactions (written off during the preparation of the consolidated financial statements), between the Company and its investees in Mainland China for the year ended December 31, 2025.

(14) Segment information:

Please refer to the consolidated financial statements for the year ended December 31, 2025.

NAN YA PRINTED CIRCUIT BOARD CORPORATION

Statement of cash and cash equivalents

December 31, 2025

(Expressed in thousands of New Taiwan Dollars)

Item	Description	Amount
Cash	Cash on hand	\$ 2,212
Cash in banks	Checking account	1,281
	Demand deposits	52,301
	Foreign currency demand deposits (Note 1) (Note 2)	304,431
Time deposits	Time deposits (Note 1) (Note 3)	972,190
Cash equivalents	Commercial paper (Note 4)	3,316,836
	Bonds sold under repurchase agreements (Note 5)	200,000
Total		<u><u>\$ 4,849,251</u></u>

Note 1:

Note 2:

Exchange rate	Amount
USD 31.438	USD 9,101
JPY 0.1997	JPY 86,905
EUR 36.6957	EUR 6
CNY 4.4727	CNY 167

Note 3:

Amount	Maturity	Interest rate
USD 15,020	2026.1.2~2026.3.18	1.62%~4.10%
NTD 500,000		

Note 4:

Maturity	Interest rate
2026.1.2~2026.1.14	1.18%~1.35%

Note 5:

Maturity	Interest rate
2026.1.12	1.31%

NAN YA PRINTED CIRCUIT BOARD CORPORATION

Statement of notes and accounts receivable

December 31, 2025

(Expressed in thousands of New Taiwan Dollars)

Item	Name Of Client	Description	Amount
Accounts receivable	Client A	Operation	\$ 1,921,105
	Client B	Operation	1,324,117
	Client C	Operation	1,316,672
	Client D	Operation	776,571
	Client E	Operation	747,777
	Others (Less than 5% of the total amount)	Operation	<u>1,017,736</u>
	Subtotal of notes and accounts receivable		7,103,978
Loss allowance			<u>(23,004)</u>
	Notes and accounts receivable, net		<u><u>\$ 7,080,974</u></u>
Receivables due from related parties	Nan Ya PCB (Kunshan) Corporation	Operation	\$ 26,713
	Formosa Advanced Technologies Co., Ltd.	Operation	4,244
	Wellink Technology Co., Ltd.	Operation	<u>83</u>
			<u><u>\$ 31,040</u></u>

NAN YA PRINTED CIRCUIT BOARD CORPORATION

Statement of inventories

December 31, 2025

(Expressed in thousands of New Taiwan Dollars)

Item	Amount		Market-based approach
	Cost	Net realizable value	
Raw materials	\$ 472,320	472,819	Net realizable value
Supplies	180,827	179,220	Net realizable value
Work in process	2,067,676	3,359,784	Net realizable value
Finished goods	<u>271,991</u>	<u>308,160</u>	Net realizable value
Subtotal	2,992,814	<u>4,319,983</u>	
Less: allowance for inventory obsolescence and devaluation	<u>(3,780)</u>		
Inventories, net	<u>\$ 2,989,034</u>		

For details on property, plant and equipment, please refer to note 6(f).

NAN YA PRINTED CIRCUIT BOARD CORPORATION

Statement of changes in investments accounted for using equity method

For the year ended December 31, 2025

(Expressed in thousands of New Taiwan Dollars)

	Balance as of January 1, 2025		Increase		Decrease		Investment Income (loss) on Equity-method	Translation Adjustment on Equity-method	Others (Note)	Balance as of December 31, 2025			Market Value or net carrying amount		
	Shares (in thousands)	Amount	Shares (in thousands)	Amount	Shares (in thousands)	Amount				Shares (in thousands)	Owned%	Amount	Price	Total	Collateral
Accounted for using the equity method:															
NPHK	2,152,020	\$ 22,846,427	-	-	-	-	(135,831)	(628,420)	(2,115,262)	2,152,020	100.00 %	19,966,914	9	19,880,812	None
NPUC	1,000	22,349	-	-	-	-	1,986	(897)	-	1,000	100.00 %	23,438	23	23,438	None
FATC	13,267	459,726	-	-	-	-	18,343	-	22,127	13,267	3.00 %	500,196	38	500,196	None
Add: Unrealized gain (loss)															
NPHK		(64,126)		-		-	-	-	(21,976)			(86,102)	-	-	
		\$ 23,264,376		-		-	(115,502)	(629,317)	(2,115,111)			20,404,446		20,404,446	

Note: Others include dividends received, other comprehensive income on equity-method, and other changes in capital surplus.

NAN YA PRINTED CIRCUIT BOARD CORPORATION

Statement of accounts payable

December 31, 2025

(Expressed in thousands of New Taiwan Dollars)

Item	Description	Amount
Accounts payable	Vendor A	\$ 120,145
	Vendor B	59,003
	Vendor C	43,400
	Others (less than 5% of the total amount)	<u>508,473</u>
Total		<u><u>\$ 731,021</u></u>
Accounts payable to related parties	Nan Ya PCB (Kunshan) Corporation	\$ 445,157
	Nan Ya Plastics Corp.	92,465
	Formosa Plastics Corporation	8,728
	Formosa Biomedical Technology Corp	1,032
	Wellink Technology Co.,Ltd.	<u>815</u>
Total		<u><u>\$ 548,197</u></u>

Statement of other payables

Item	Description	Amount
Other payables	Salaries	\$ 1,347,640
	Insurance expense	104,640
	Others (Less than 5% of the total amount)	<u>438,550</u>
		<u><u>\$ 1,890,830</u></u>
Other payables to related parties	Nan Ya Plastics Corp.	\$ 66,590
	Nan Ya PCB (Kunshan) Corporation	<u>58,908</u>
		<u><u>\$ 125,498</u></u>

NAN YA PRINTED CIRCUIT BOARD CORPORATION

Statement of operating revenue

For the year ended December 31, 2025

(Expressed in thousands of New Taiwan Dollars)

Item	Unit	Quantity	Amount
Printed circuit board	KSF	6,418	\$ 29,485,296
Others		-	<u>53,399</u>
Total			<u><u>\$ 29,538,695</u></u>

NAN YA PRINTED CIRCUIT BOARD CORPORATION

Statement of operating costs

For the year ended December 31, 2025

(Expressed in thousands of New Taiwan Dollars)

<u>Item</u>	<u>Amount</u>
Beginning balance of raw materials	\$ 359,780
Purchases	7,702,778
Ending balance of raw materials	(472,320)
Add: Samples provided by manufacturers	125,813
Less: Reclassified to manufacturing overhead	89,141
Reclassified to selling and administrative expenses	17,680
Sale of raw materials	<u>13,847</u>
Cost of raw materials consumed	<u>7,595,383</u>
Beginning balance of supplies	190,638
Purchases	1,626,630
Ending balance of supplies	(180,827)
Add: Samples provided by manufacturers	22,694
Less: Reclassified to manufacturing overhead	1,642,927
Reclassified to selling expenses	311
Reclassified to administrative expenses	14,542
Sale of supplies	<u>1,355</u>
Cost of supplies consumed	<u>-</u>
Direct labor	4,770,179
Manufacturing overhead	10,571,029
Reclassified to unamortized manufacturing overhead	<u>(3,638,971)</u>
Manufacturing costs	19,297,620
Beginning balance of work in process	1,629,366
Ending balance of work in process	(2,067,676)
Add: Finished goods transferred in	261,000
Cost of finished goods	19,120,310
Beginning balance of finished goods	158,951
Add: Purchases of finished goods	3,489,971
Less: Reclassified to selling expenses	2,311
Reclassified to work in process	261,000
Ending balance of finished goods	<u>(271,991)</u>
Cost of finished goods for the period	22,233,930
Unamortized manufacturing overhead	3,638,971
Gain on Reversal of Inventory Write-down	(473)
Sale of raw materials and supplies	<u>15,202</u>
Operating costs	<u><u>\$ 25,887,630</u></u>

NAN YA PRINTED CIRCUIT BOARD CORPORATION

Statement of Manufacturing Overhead

For the year ended December 31, 2025

(Expressed in thousands of New Taiwan Dollars)

<u>Item</u>	<u>Amount</u>
Indirect labor	\$ 837,281
Depreciation	4,708,332
Supplies expenses	974,712
Utilities expenses	2,291,807
Maintenance expenses	817,356
Others (Less than 5% of the total amount)	<u>941,541</u>
Total	<u><u>\$ 10,571,029</u></u>

Statement of selling expenses

<u>Item</u>	<u>Amount</u>
Commissions on export sales	\$ 106,030
Salary and food expenses	107,908
Employee benefits	26,250
Others (Less than 5% of the total amount)	<u>49,953</u>
Total	<u><u>\$ 290,141</u></u>

NAN YA PRINTED CIRCUIT BOARD CORPORATION**Statement of administrative expenses****For the year ended December 31, 2025****(Expressed in thousands of New Taiwan Dollars)**

Item	Amount
Salary and food expenses	\$ 334,989
Research and development expense	249,066
Amortization	230,939
Others (Less than 5% of the total amount)	<u>217,743</u>
Total	<u><u>\$ 1,032,737</u></u>